

CASE 2 PILOT

Brackenfield Construction (Canada) Ltd.

v.

Kestrel Falls Transit Commission

Court File No. CV-19-00623145-00CL

AI TESTING LITIGATION FILE

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CONFIDENTIAL - INTERNAL AI TESTING

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MEMORANDUM TO FILE

CONFIDENTIAL — SOLICITOR-CLIENT PRIVILEGE

Matter	Brackenfield Construction (Canada) Ltd. — Redwing Crossing Station Claim
File No.	2018-0447
Date	August 22, 2018
From	M. Aldous, Partner
Re	Initial Client Intake — Kestrel Falls Transit Commission Contract Dispute

1. Background

Brackenfield Construction (Canada) Ltd. (“Brackenfield”) retained this firm on August 15, 2018 in connection with a dispute arising from its Prime Contract with the Kestrel Falls Transit Commission (“KFTC”) for construction of the Redwing Crossing Station (originally “Birchwood Station”), part of the Kestrel Falls Rapid Transit Extension. Contract dated April 8, 2013, contract price \$148,750,000.

The Project achieved Actual Substantial Performance on July 24, 2018 — 812 days after the Scheduled Substantial Performance Date of May 2, 2016. KFTC has accepted responsibility for 340 of those days and certified a \$46,000,000 price increase, but disputes responsibility for the remaining 472 days. Brackenfield disputes KFTC's position and intends to pursue a claim for, among other things, the flow-through costs of two of its subcontractors.

This memo addresses only the flow-through component of the anticipated claim — the broader delay/scope dispute is being tracked separately and is not the subject of this file.

2. The flow-through issue

Two Brackenfield subcontractors — Ironclad Mechanical Systems Inc. (“Ironclad”) and Summit Rebar & Concrete Ltd. (“Summit”) — each submitted cost claims to Brackenfield during the Project, attributing their additional costs to KFTC-caused design changes and access delays rather than to any default by Brackenfield. Neither subcontractor has a direct contractual relationship with KFTC. Any ability to pursue their claimed losses against KFTC, directly or through Brackenfield, requires legal analysis.

Brackenfield has entered into two separate agreements with these subcontractors intended to let Brackenfield pursue their claims against KFTC on their behalf:

- A Claim Assignment and Liquidating Agreement with Ironclad (Mar. 14, 2018)
- A Conditional Settlement and Cost-Sharing Agreement with Summit (Jun. 22, 2018)

Client's stated understanding is that both agreements accomplish the same thing — a mechanism to let Brackenfield recover these amounts from KFTC without exposing Brackenfield to independent liability to either subcontractor. **This understanding should not be assumed correct without reviewing the actual agreement language; the two documents are not drafted identically, and that difference may matter.** (Action item below.)

3. Client's stated objectives

1. Recover the Ironclad and Summit amounts (\$8,200,000 and \$5,600,000 respectively) from KFTC as part of the overall claim.

2. Confirm Brackenfield has no independent exposure to either subcontractor beyond what each agreement contemplates.
3. Understand realistic prospects before committing to litigation versus a negotiated resolution with KFTC.

4. Initial issue-spotting (not yet verified against source documents)

- Privity: KFTC has no contract with either subcontractor. Research is required as to whether and on what basis Brackenfield may advance the subcontractors' claimed losses against KFTC.
- Availability of the flow-through device under Ontario law, and what conditions attach to it — needs research; my initial recollection is that Canadian authority directly on point is thin.
- Whether Brackenfield's liquidating agreements with Ironclad and Summit help or hurt a flow-through claim — this is likely the central legal question and needs the actual agreement text reviewed clause by clause, not just the client's summary of them.
- Whether the two agreements should be analyzed the same way, given they were apparently drafted with different release language.
- Notice and limitation compliance under the Prime Contract.
- Evidentiary sufficiency of the subcontractors' cost claims — causation (KFTC vs. Brackenfield-caused) is currently asserted by Brackenfield, not independently established.

5. Action items

- ☐ Obtain and review full executed copies of: Prime Contract, both subcontracts, both liquidating agreements
- ☐ Obtain complete correspondence file between Brackenfield/Ironclad, Brackenfield/Summit, and Brackenfield/KFTC
- ☐ Research Ontario/Canadian authority on flow-through/pass-through claims in construction
- ☐ Do not advise the client on likelihood of success until the two liquidating agreements have been reviewed directly — client's characterization that they are equivalent should be independently verified

6. Retainer scope

Retainer confirmed by letter dated August 18, 2018 (on file). Scope limited to advice and litigation strategy regarding the flow-through claim; does not extend to the broader delay claim, which is being handled by separate counsel within the same firm under File No. 2018-0446.

CASE SUMMARY**CONFIDENTIAL — SOLICITOR-CLIENT PRIVILEGE**

Prepared by	M. Aldous, Partner
Date	December 20, 2018 (updated to reflect correspondence through December 12, 2018)
Matter	Brackenfield Construction (Canada) Ltd. v. Kestrel Falls Transit Commission — Subcontractor Flow-Through Claim
File No.	2018-0447

1. Parties

Role	Party
Client / prospective plaintiff	Brackenfield Construction (Canada) Ltd. (“Brackenfield”) — general contractor
Prospective defendant	Kestrel Falls Transit Commission (“KFTC”) — owner, municipal transit agency
Non-party claimants (flowed through by Brackenfield)	Ironclad Mechanical Systems Inc. (“Ironclad”); Summit Rebar & Concrete Ltd. (“Summit”) — Brackenfield’s subcontractors

2. The Project

Redwing Crossing Station (contracted as “Birchwood Station”), part of the Kestrel Falls Rapid Transit Extension. Prime Contract dated April 8, 2013, contract price \$148,750,000. Scheduled Substantial Performance Date May 2, 2016; Actual Substantial Performance achieved July 24, 2018 — 812 days late. KFTC has accepted 340 days of delay and certified a \$46,000,000 price increase; the remaining 472 days are disputed as part of a broader delay claim being handled under a separate file (2018-0446).

3. Nature of this dispute

This file concerns a single, self-contained component of the overall claim: whether Brackenfield can recover, from KFTC, \$13,800,000 in delay and disruption costs claimed by two of its subcontractors — Ironclad (\$8,200,000) and Summit (\$5,600,000) — neither of whom has any direct contract with KFTC.

Brackenfield entered into two separate agreements intended to allow it to pursue these amounts against KFTC on the subcontractors' behalf:

- Ironclad: Claim Assignment and Liquidating Agreement, March 14, 2018 — a full release of Ironclad's claim against Brackenfield, coupled with an assignment of that claim to Brackenfield.
- Summit: Conditional Settlement and Cost-Sharing Agreement, June 22, 2018 — a release expressed to operate only “to the extent of any amount recovered” from KFTC, with no assignment clause and no express treatment of any shortfall.

4. Procedural posture

No proceeding has been commenced. Brackenfield submitted the flow-through claim to KFTC by letter dated September 17, 2018. KFTC rejected it in full by letter dated November 5, 2018, on the grounds that (a) it has no contractual relationship with either subcontractor, and (b) Brackenfield has, in KFTC's stated view, released itself from any potential liability to both subcontractors, which KFTC says is fatal to a claim advanced on their behalf. Brackenfield's counsel replied December 12, 2018, maintaining Brackenfield's position and reserving the right to commence proceedings. The dispute is presently unresolved and unlitigated.

5. Issues identified to date

- Whether a claim of this kind is available at all given the absence of any contract between KFTC and either subcontractor.
- Whether Brackenfield retains “potential liability” to Ironclad and to Summit sufficient to support pursuing their claims against KFTC — and whether the Ironclad and Summit agreements should be analyzed the same way, given they are not drafted identically.
- Notice and limitation compliance under Article 11 of the Prime Contract.
- Causation and quantum of each subcontractor's underlying claim, independent of the above.

No opinion on likelihood of success has yet been given to the client; the agreements and full correspondence file require closer review before that advice is provided.

6. Key documents on file

Prime Contract (excerpted); Ironclad and Summit subcontracts (excerpted); both liquidating agreements (full text); correspondence chain, Ironclad and Summit notices through KFTC's November 5, 2018 rejection and Brackenfield's December 12, 2018 reply.

7. Next steps

- Complete review of the two liquidating agreements clause by clause
- Research Ontario/Canadian authority on flow-through claims in construction
- Advise client on litigation vs. negotiated resolution once the above is complete
- Consider whether the claim, or a portion of it, is suited to a summary procedure given its narrow, document-driven nature

PRIME CONTRACT

(EXCERPTS)

Between:

KESTREL FALLS TRANSIT COMMISSION

(*“the Commission” or “KFTC”*)

and

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

(*“the Contractor” or “Brackenfield”*)

Contract No. KFTC-RTE-004 — Redwing Crossing Station

Dated: April 8, 2013

ARTICLE 2 — SCOPE AND CONTRACT PRICE

2.1 The Contractor shall construct and complete the Redwing Crossing Station (identified at the date of this Contract as “Birchwood Station”) forming part of the Kestrel Falls Rapid Transit Extension, in accordance with the Contract Documents.

2.2 The Contract Price is \$148,750,000, subject to adjustment in accordance with Article 9 (Changes).

ARTICLE 4 — SCHEDULE

4.1 The Scheduled Substantial Performance Date is May 2, 2016.

4.2 The Scheduled Final Completion Date is August 1, 2016.

4.3 Time is of the essence.

ARTICLE 8 — SUBCONTRACTING

8.1 The Contractor may subcontract portions of the Work with the Commission's prior written consent, which shall not be unreasonably withheld.

8.2 Nothing in this Contract, and no subcontract entered into by the Contractor, shall be construed as creating any contractual relationship between the Commission and any subcontractor. The Contractor remains solely responsible to the Commission for the performance of the Work, including Work performed by subcontractors.

8.3 The Commission shall have no contractual obligation to make payment directly to any subcontractor. Any amounts claimed in respect of subcontracted Work shall be submitted to the Commission through the Contractor, subject to the terms of this Contract and applicable law.

ARTICLE 11 — DELAY CLAIMS AND NOTICE

11.1 If the Contractor considers that it is entitled to an extension of time or additional compensation as a result of an act, omission, or instruction of the Commission, the Contractor shall give the Commission written notice within thirty (30) days of the Contractor first becoming aware, or reasonably ought to have become aware, of the event or circumstance giving rise to the claim.

11.2 The Contractor shall submit full particulars of the claim, including supporting documentation and quantum, within sixty (60) days of the notice under Article 11.1, or within such further time as the Commission may agree in writing.

11.3 Failure to comply with Article 11.1 or 11.2 does not automatically bar a claim, but may be considered by the Commission, and by any court or tribunal, in assessing the merits and quantum of the claim.

11.4 Any claim relating to additional costs incurred in connection with subcontracted Work shall be submitted by the Contractor in its own name and shall comply with the notice and substantiation requirements of this Article.

ARTICLE 19 — DISPUTE RESOLUTION

19.1 The parties shall first attempt to resolve any dispute through good-faith negotiation between senior representatives for a period of not less than thirty (30) days.

19.2 If unresolved, either party may refer the dispute to mediation, and if unresolved after mediation, either party may commence proceedings before a court of competent jurisdiction in Ontario.

ARTICLE 24 — GOVERNING LAW

24.1 This Contract shall be governed by the laws of the Province of Ontario and the federal laws of Canada applicable therein.

[Remaining provisions omitted from this extract as not presently material to the flow-through claim.]

SUBCONTRACTS AND LIQUIDATING AGREEMENTS

Part A — Mechanical Subcontract (Brackenfield / Ironclad) — Excerpt

Subcontract dated June 3, 2013, between Brackenfield Construction (Canada) Ltd. (“Brackenfield”) and Ironclad Mechanical Systems Inc. (“Ironclad”), for mechanical/HVAC scope of work on the Redwing Crossing Station, value \$22,400,000.

Relevant clause:

Section 14 — Delay Claims. If Ironclad's performance is delayed or disrupted by an act, omission, instruction or other event for which Ironclad considers it entitled to additional time or compensation, Ironclad shall submit its claim to Brackenfield in accordance with the notice requirements of this Section. Where the circumstances giving rise to the claim are attributable to the Commission, Brackenfield shall deal with the claim in accordance with the Prime Contract and applicable law.

Part B — Structural Concrete Subcontract (Brackenfield / Summit) — Excerpt

Subcontract dated August 19, 2013, between Brackenfield and Summit Rebar & Concrete Ltd. (“Summit”), for structural concrete scope of work, value \$16,900,000.

Relevant clause (materially identical to the Ironclad subcontract's Section 14, same numbering):

Section 14 — Delay Claims. If Summit's performance is delayed or disrupted by an act, omission, instruction or other event for which Summit considers it entitled to additional time or compensation, Summit shall submit its claim to Brackenfield in accordance with the notice requirements of this Section. Where the circumstances giving rise to the claim are attributable to the Commission, Brackenfield shall deal with the claim in accordance with the Prime Contract and applicable law.

Part C — Claim Assignment and Liquidating Agreement

Brackenfield Construction (Canada) Ltd. / Ironclad Mechanical Systems Inc. — Dated: March 14, 2018

RECITALS

A. Ironclad has asserted a claim against Brackenfield for additional costs of \$8,200,000, arising from delay and disruption to Ironclad's Work, which Ironclad attributes to acts, omissions, and instructions of the Commission (the "Ironclad Subcontract Claim").

B. Brackenfield disputes that it bears any responsibility for the matters underlying the Ironclad Subcontract Claim and takes the position that, to the extent well-founded, the underlying costs are properly recoverable by Brackenfield from the Commission as part of Brackenfield's own claim under the Prime Contract (the "Commission Claim").

C. The parties wish to resolve their respective positions on the terms set out below.

OPERATIVE TERMS

1. Release. Ironclad hereby fully and finally releases, remises, and forever discharges Brackenfield from the Ironclad Subcontract Claim and from any and all other claims, demands, actions, and causes of action, whether known or unknown, arising out of or in connection with the matters described in Recital A.

2. Assignment. Ironclad hereby assigns to Brackenfield, absolutely, all of Ironclad's right, title, and interest in and to any amount that may be recovered in connection with the Commission Claim referable to the matters described in Recital A, and consents to Brackenfield including those matters within the Commission Claim and prosecuting, settling, or otherwise disposing of the Commission Claim in Brackenfield's own name and at Brackenfield's sole discretion.

3. Payment. Brackenfield shall pay to Ironclad an amount equal to 88% of any amount actually recovered from the Commission that is referable to the matters described in Recital A (whether by judgment, award, or settlement), net of Brackenfield's reasonable costs of prosecution, within 30 days of recovery. Brackenfield retains the remaining 12% as an administrative allowance. **Ironclad shall have no claim against Brackenfield for any amount not actually recovered from the Commission.**

4. No Admission. This Agreement is not, and shall not be construed as, an admission of liability by either party.

5. Governing Law. Ontario.

IN WITNESS WHEREOF the parties have executed this Agreement as of the date first written above.

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Per: _____

Name:

Title:

IRONCLAD MECHANICAL SYSTEMS INC.

Per: _____

Name:

Title:

Part D — Conditional Settlement and Cost-Sharing Agreement

Brackenfield Construction (Canada) Ltd. / Summit Rebar & Concrete Ltd. — Dated: June 22, 2018

RECITALS

- A.** Summit has asserted a claim against Brackenfield for additional costs of \$5,600,000, arising from delay and disruption to Summit's Work, which Summit attributes to acts, omissions, and instructions of the Commission (the "Summit Subcontract Claim").
- B.** Brackenfield disputes that it bears any responsibility for the matters underlying the Summit Subcontract Claim and takes the position that, if well-founded, the underlying costs are properly recoverable by Brackenfield from the Commission.
- C.** The parties wish to resolve their respective positions on the terms set out below.

OPERATIVE TERMS

- 1. Conditional Release.** Summit hereby releases Brackenfield from the Summit Subcontract Claim **to the extent of any amount recovered by Brackenfield from the Commission that is referable to the Summit Subcontract Claim.**
- 2. Brackenfield's Undertaking.** Brackenfield shall use reasonable commercial efforts to include the Summit Subcontract Claim in any claim, action, or negotiation Brackenfield pursues against the Commission, and shall keep Summit reasonably informed of the status of that claim as it relates to the Summit Subcontract Claim.
- 3. Payment.** Brackenfield shall pay to Summit 90% of any amount actually recovered from the Commission that is referable to the Summit Subcontract Claim, net of Brackenfield's reasonable costs of prosecution attributable to that portion, within 30 days of recovery.
- 4. No Admission.** This Agreement is not, and shall not be construed as, an admission of liability by either party.
- 5. Entire Agreement.** This Agreement constitutes the entire agreement between the parties with respect to the Summit Subcontract Claim and supersedes all prior negotiations, understandings, and agreements, whether written or oral, relating thereto.
- 6. Governing Law.** Ontario.

IN WITNESS WHEREOF the parties have executed this Agreement as of the date first written above.

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Per: _____
Name:
Title:

SUMMIT REBAR & CONCRETE LTD.

Per: _____
Name:
Title:

CORRESPONDENCE FILE

Flow-Through Dispute

1. Ironclad to Brackenfield — Notice of Claim

Date:	November 8, 2016
From:	T. Reyes, Project Manager, Ironclad Mechanical Systems Inc.
To:	D. Okafor, Project Manager, Brackenfield Construction (Canada) Ltd.
Re:	Notice of Delay and Disruption — Redwing Crossing Station

Further to Section 14 of our Subcontract, please accept this letter as formal notice that Ironclad has incurred, and continues to incur, additional standby and re-mobilization costs as a direct result of design revisions issued by the Commission in September and October 2016 affecting mechanical room layout, and access restrictions imposed by the Commission's site staff since August 2016. These are not matters within Ironclad's control or attributable to any default on Ironclad's part. We reserve our rights under Section 14 and will provide full particulars and quantum as they become available.

2. Brackenfield to KFTC — General Notice and Reservation of Rights (Mechanical)

Date:	December 1, 2016
From:	D. Okafor, Brackenfield
To:	R. Voss, Contract Administrator, Kestrel Falls Transit Commission
Re:	Notice Under Article 11 — Mechanical Trade Disruption — Redwing Crossing Station

Further to design revisions and site access matters affecting the mechanical scope of the Work, please accept this letter as notice under Article 11 of the Contract that Brackenfield anticipates additional time and/or compensation may be required in connection with the mechanical trade's performance. Brackenfield reserves all rights under Article 11 and the Contract generally and will provide further particulars as they become available.

3. Ironclad to Brackenfield — Particulars of Claim

Date:	February 14, 2017
Re:	Particulars — Notice of November 8, 2016

Enclosed please find our detailed cost breakdown supporting a claim of \$6,100,000 to date, comprising extended field supervision, equipment standby, and re-mobilization costs, all attributable to the design revisions and access restrictions described in our prior notice. We anticipate this figure will increase as the delay continues, and will provide updated particulars accordingly.

4. Summit to Brackenfield — Notice of Claim

Date:	March 22, 2017
From:	L. Marchetti, Project Manager, Summit Rebar & Concrete Ltd.
To:	D. Okafor, Brackenfield
Re:	Notice of Delay and Disruption — Redwing Crossing Station

Please accept this as formal notice under Section 14 of our Subcontract. Summit has incurred additional mobilization, demobilization, and extended supervision costs as a result of sequencing changes directed by the Commission's site representatives beginning in January 2017, requiring Summit to remobilize crews on three separate occasions rather than the single continuous pour sequence contemplated in our original schedule. We reserve our rights and will provide particulars.

5. Brackenfield to KFTC — General Notice and Reservation of Rights (Structural)

Date:	April 10, 2017
From:	D. Okafor, Brackenfield
To:	R. Voss, Kestrel Falls Transit Commission
Re:	Notice Under Article 11 — Structural Sequencing — Redwing Crossing Station

Further to sequencing changes affecting the structural concrete scope of the Work, please accept this letter as notice under Article 11 of the Contract that Brackenfield anticipates additional time and/or compensation may be required in connection with the structural trade's performance. Brackenfield reserves all rights under Article 11 and the Contract generally and will provide further particulars as they become available.

6. Ironclad to Brackenfield — Updated Claim

Date:	September 3, 2017
Re:	Updated Claim — \$8,200,000

As previously advised, our costs have continued to accrue. Our updated claim, with supporting documentation, now totals \$8,200,000. We look to Brackenfield to pursue recovery of this amount from the Commission as contemplated by Section 14 of our Subcontract, and confirm our willingness to discuss a liquidating arrangement along the lines we have previously discussed.

7. Summit to Brackenfield — Updated Claim

Date:	May 30, 2018
Re:	Updated Claim — \$5,600,000

Our costs, fully particularized in the attached, now total \$5,600,000. We understand Brackenfield intends to pursue this amount as part of its overall claim against the Commission and look forward to finalizing the arrangement we have been discussing.

8. Brackenfield to KFTC — Consolidated Claim Submission (Flow-Through Component)

Date:	September 17, 2018
From:	D. Okafor, Brackenfield
To:	R. Voss, Contract Administrator, Kestrel Falls Transit Commission
Re:	Claim Submission — Redwing Crossing Station — Subcontractor Costs

Further to our overall claim submission, this letter addresses the delay and disruption costs incurred by two of our subcontractors as a direct result of the Commission's design revisions and site instructions described in the enclosed subcontractor notices:

- Ironclad Mechanical Systems Inc.: \$8,200,000
- Summit Rebar & Concrete Ltd.: \$5,600,000

Brackenfield is entitled to advance these amounts pursuant to its contractual arrangements with the respective subcontractors and the applicable provisions of the Prime Contract. Both amounts are properly recoverable by Brackenfield from the Commission and we look to the Commission for payment in full.

9. KFTC to Brackenfield — Response

Date:	November 5, 2018
From:	R. Voss, Contract Administrator, KFTC
To:	D. Okafor, Brackenfield

Re:	Response to Claim Submission — Subcontractor Costs
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The Commission has reviewed your submission of September 17, 2018 and rejects the claimed amounts for Ironclad Mechanical Systems Inc. and Summit Rebar & Concrete Ltd. in their entirety, for the following reasons:

1. The Commission has no contract with, and no direct liability to, either subcontractor. Article 8.2 and 8.3 of our Contract are explicit on this point.
2. To the extent Brackenfield asserts a right to advance these amounts on behalf of the subcontractors, the Commission does not accept that Brackenfield has established any legal or contractual basis upon which those amounts are recoverable from the Commission. The Commission understands that Brackenfield has entered into separate arrangements with each subcontractor concerning these claims and reserves its position as to the legal effect of those arrangements.
3. The Commission has not been provided with copies of the underlying agreements between Brackenfield and either subcontractor and reserves all rights pending production of those documents.
4. Without prejudice to the foregoing, the Commission also disputes causation and quantum of both subcontractor claims, and notes that full particulars of both amounts were not received until September 2018 notwithstanding earlier general notices in December 2016 and April 2017.

10. Brackenfield to KFTC — Reply

Date:	December 12, 2018
From:	M. Aldous, Whitlock Byrne LLP, counsel for Brackenfield
To:	R. Voss, KFTC

We write further to your letter of November 5, 2018. Brackenfield maintains its position that both the Ironclad and Summit amounts are properly recoverable from the Commission and disputes the characterization in paragraph 2 of your letter. Brackenfield will provide the underlying agreements in due course and reserves all rights, including to commence proceedings if this matter is not resolved.

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

STATEMENT OF CLAIM

(Excerpt — this extract reproduces the paragraphs of the Claim relating to the subcontractor flow-through claim only. Other heads of damage pleaded in the Claim, including the balance of Brackenfield's delay claim in respect of the 472 disputed days referenced at paragraph 8 below, are not reproduced in this extract.)

TO THE DEFENDANT

A LEGAL PROCEEDING HAS BEEN COMMENCED AGAINST YOU in the attached Statement of Claim. If you dispute any of the claims made against you, you or an Ontario lawyer acting for you must prepare a Statement of Defence in the prescribed form and serve it on the plaintiff's lawyer within the time provided by the Rules of Civil Procedure.

A. THE PARTIES

1. The Plaintiff, Brackenfield Construction (Canada) Ltd. ("Brackenfield"), is a corporation incorporated under the laws of Canada, carrying on business as a general contractor, with its head office in Ontario.
2. The Defendant, Kestrel Falls Transit Commission ("KFTC"), is a municipal transit agency responsible for, among other things, the planning and delivery of the Kestrel Falls Rapid Transit Extension, including the Redwing Crossing Station.

B. THE PRIME CONTRACT

3. By contract dated April 8, 2013 (the "Prime Contract"), KFTC retained Brackenfield to construct and complete the Redwing Crossing Station (identified at the date of the Prime Contract as "Birchwood Station"), for a contract price of \$148,750,000, subject to adjustment.
4. The Prime Contract provided, among other things, that: (a) nothing in the Prime Contract or in any subcontract entered into by Brackenfield would be construed as creating a contractual relationship between KFTC and any subcontractor; and (b) any claim relating to additional costs incurred in connection with subcontracted Work was to be submitted by Brackenfield in its own name and was to comply with the notice and substantiation requirements of Article 11.

C. THE SUBCONTRACTS

5. Brackenfield subcontracted mechanical work on the Project to Ironclad Mechanical Systems Inc. ("Ironclad") pursuant to a subcontract dated June 3, 2013, with a value of \$22,400,000 (the "Ironclad Subcontract").

6. Brackenfield subcontracted structural concrete work on the Project to Summit Rebar & Concrete Ltd. (“Summit”) pursuant to a subcontract dated August 19, 2013, with a value of \$16,900,000 (the “Summit Subcontract”).

D. DELAY TO THE PROJECT

7. The Project was substantially delayed. Actual Substantial Performance was achieved on July 24, 2018, some 812 days after the Scheduled Substantial Performance Date of May 2, 2016. KFTC has accepted responsibility for 340 of those days and certified a corresponding price increase of \$46,000,000, but disputes responsibility for the remaining 472 days.
8. The balance of Brackenfield's claim in respect of the disputed 472 days, and the associated heads of damage, is particularized elsewhere in this Claim and is not reproduced in this extract.
9. The delay and disruption to the Project referred to in this extract, and in particular the delay and disruption experienced by Ironclad and Summit as set out below, were caused, in whole or in part, by acts, omissions, and instructions of KFTC, including design revisions and site access and sequencing instructions issued by or on behalf of KFTC during the course of the Project.

E. THE IRONCLAD SUBCONTRACT CLAIM

10. By letter dated November 8, 2016, Ironclad gave notice to Brackenfield that it had incurred, and continued to incur, additional standby and re-mobilization costs as a result of design revisions issued by KFTC in September and October 2016 and access restrictions imposed by KFTC's site staff from August 2016. Ironclad provided particulars of a claim in the amount of \$6,100,000 on February 14, 2017, and an updated claim in the amount of \$8,200,000 on September 3, 2017 (the “Ironclad Subcontract Claim”).
11. By letter dated December 1, 2016, Brackenfield gave notice to KFTC under Article 11 of the Prime Contract of anticipated additional time and/or compensation arising from matters affecting the mechanical trade.
12. By agreement dated March 14, 2018 (the “Ironclad Agreement”), Ironclad released Brackenfield from the Ironclad Subcontract Claim, assigned to Brackenfield all of its right, title, and interest in any amount recoverable in connection with the Commission Claim referable to the matters underlying the Ironclad Subcontract Claim, and consented to Brackenfield prosecuting the Commission Claim in Brackenfield's own name and at Brackenfield's sole discretion, on the terms set out in the Ironclad Agreement.

F. THE SUMMIT SUBCONTRACT CLAIM

13. By letter dated March 22, 2017, Summit gave notice to Brackenfield that it had incurred additional mobilization, demobilization, and extended supervision costs as a result of sequencing changes directed by KFTC's site representatives beginning in January 2017. Summit provided an updated claim in the amount of \$5,600,000 on May 30, 2018 (the “Summit Subcontract Claim”).
14. By letter dated April 10, 2017, Brackenfield gave notice to KFTC under Article 11 of the Prime Contract of anticipated additional time and/or compensation arising from matters affecting the structural concrete trade.
15. By agreement dated June 22, 2018 (the “Summit Agreement”), Summit released Brackenfield from the Summit Subcontract Claim to the extent of any amount recovered by Brackenfield from KFTC referable to the matters underlying the Summit Subcontract Claim, on the terms set out in the Summit Agreement.

G. BRACKENFIELD'S CLAIM AGAINST KFTC

16. By letter dated September 17, 2018, Brackenfield submitted the Ironclad Subcontract Claim and the Summit Subcontract Claim to KFTC, in the amounts of \$8,200,000 and \$5,600,000 respectively (together, the “Flow-Through Claim”).

17. By letter dated November 5, 2018, KFTC rejected the Flow-Through Claim in its entirety, asserting, among other things, that it had no contractual relationship with, and no direct liability to, Ironclad or Summit, and that Brackenfield had not established a legal or contractual basis on which the Flow-Through Claim was recoverable from KFTC.
18. By letter dated December 12, 2018, Brackenfield disputed KFTC's position and reserved its rights, including its right to commence proceedings.
19. Brackenfield states, and the fact is, that it is entitled to recover the sum of \$13,800,000 from KFTC in respect of the Flow-Through Claim, on the basis, among others, that: (a) the delay and disruption underlying the Ironclad Subcontract Claim and the Summit Subcontract Claim were caused by KFTC; (b) Brackenfield is entitled to advance the Flow-Through Claim against KFTC notwithstanding the absence of a direct contractual relationship between KFTC and either Ironclad or Summit; and (c) neither the Ironclad Agreement nor the Summit Agreement precludes Brackenfield's entitlement to recover the Flow-Through Claim from KFTC.
20. Brackenfield gave notice of the matters underlying the Flow-Through Claim as particularized above and complied with, or is not barred by reason of Article 11.3 of the Prime Contract from advancing, the Flow-Through Claim.

H. RELIEF CLAIMED

21. Brackenfield claims:
 - (a) damages in the amount of \$13,800,000;
 - (b) a declaration that Brackenfield is entitled to recover from KFTC the amounts referable to the Ironclad Subcontract Claim and the Summit Subcontract Claim;
 - (c) pre-judgment and post-judgment interest pursuant to the *Courts of Justice Act*, R.S.O. 1990, c. C.43;
 - (d) costs of this action; and
 - (e) such further and other relief as to this Honourable Court may seem just.
 22. Brackenfield proposes that this action be tried at Toronto, Ontario.
-

Date of issue: June 3, 2019

Issued by:

WHITLOCK BYRNE LLP

Barristers & Solicitors

M. Aldous

Lawyer for the Plaintiff

TO: Kestrel Falls Transit Commission

c/o Dunmore Kessler LLP

Barristers & Solicitors

Toronto, Ontario

Lawyers for the Defendant

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

STATEMENT OF DEFENCE

(Excerpt — this extract reproduces the paragraphs of the Defence relating to the subcontractor flow-through claim only, corresponding to the extract of the Claim served on the Defendant. Save as expressly admitted below, KFTC denies each and every allegation of fact and law contained in the Claim not reproduced in this extract and puts Brackenfield to the strict proof thereof.)

A. GENERAL

1. Except as expressly admitted herein, KFTC denies each and every allegation contained in the Statement of Claim and puts Brackenfield to the strict proof thereof.

B. RESPONSE TO SPECIFIC PARAGRAPHS

2. KFTC admits the allegations in paragraphs 1 and 2 of the Claim.
3. KFTC admits the allegations in paragraphs 3 and 4 of the Claim.
4. KFTC has no knowledge of the terms of the Ironclad Subcontract or the Summit Subcontract beyond what is referenced in Brackenfield's correspondence with KFTC, and puts Brackenfield to the strict proof of the allegations in paragraphs 5 and 6 of the Claim.
5. KFTC admits the Actual Substantial Performance date and the 340/472-day division pleaded in paragraph 7 of the Claim, KFTC having accepted responsibility for 340 days of delay and certified a corresponding price increase. KFTC denies responsibility for the remaining 472 days referred to in paragraph 7, and denies the allegations in paragraph 9 of the Claim. KFTC does not plead to paragraph 8 of the Claim, which is not reproduced in this extract.
6. KFTC has no knowledge of the matters pleaded in paragraphs 10 and 13 of the Claim, as they concern communications between Brackenfield and its subcontractors to which KFTC was not a party, and puts Brackenfield to the strict proof thereof.
7. KFTC admits that it received the letters referred to in paragraphs 11 and 14 of the Claim, but denies that those letters constituted adequate notice under Article 11 of the Prime Contract, for the reasons pleaded in Part C below.
8. KFTC has reviewed copies of the Ironclad Agreement and the Summit Agreement subsequently provided to it, but does not admit the characterization or legal effect of those agreements as pleaded in paragraphs 12 and 15 of the Claim. KFTC pleads further and in the alternative as set out in Part C below.
9. KFTC admits that it received the letter referred to in paragraph 16 of the Claim, that it sent the letter referred to in paragraph 17 of the Claim, and that it received the letter referred to in paragraph 18 of the Claim.

10. KFTC denies the allegations in paragraph 19 of the Claim.
11. KFTC denies the allegations in paragraph 20 of the Claim and pleads that Brackenfield failed to comply with the notice and particulars requirements of Article 11 of the Prime Contract, for the reasons pleaded in Part C below.

C. NO CONTRACTUAL RELATIONSHIP WITH IRONCLAD OR SUMMIT

12. KFTC pleads that it has no contract, and no contractual relationship of any kind, with Ironclad or Summit. Article 8.2 of the Prime Contract expressly provides that nothing in the Prime Contract, and no subcontract entered into by Brackenfield, shall be construed as creating any contractual relationship between KFTC and any subcontractor.

D. EFFECT OF THE IRONCLAD AGREEMENT

13. Further, and in the alternative, KFTC pleads that by reason of the release given by Ironclad to Brackenfield under the Ironclad Agreement, Brackenfield retains no liability, contingent or otherwise, to Ironclad in respect of the Ironclad Subcontract Claim. In the premises, Brackenfield is not entitled to advance the Ironclad Subcontract Claim, or any part of it, against KFTC.

E. EFFECT OF THE SUMMIT AGREEMENT

14. Further, and in the alternative, KFTC pleads that the Summit Agreement, on its true construction and read in light of the surrounding circumstances known to Brackenfield and Summit at the time it was made, was intended to and does operate as a comprehensive resolution of the Summit Subcontract Claim as between Brackenfield and Summit, notwithstanding the particular wording of the release provision. In the premises, Brackenfield retains no liability, contingent or otherwise, to Summit in respect of the Summit Subcontract Claim, and is not entitled to advance the Summit Subcontract Claim, or any part of it, against KFTC.

F. NOTICE

15. Further, and in the alternative, KFTC pleads that the letters dated December 1, 2016 and April 10, 2017 referred to in paragraphs 11 and 14 of the Claim were general in nature, did not identify the specific events or instructions said to give rise to a claim, and did not comply with the requirements of Article 11.1 of the Prime Contract. KFTC further pleads that full particulars, including quantum, were not provided in respect of either the Ironclad Subcontract Claim or the Summit Subcontract Claim until on or about September 17, 2018, well beyond the 60-day period contemplated by Article 11.2 of the Prime Contract. KFTC pleads that such non-compliance, while not constituting an automatic bar by reason of Article 11.3 of the Prime Contract, is relevant to the merits and quantum of the Flow-Through Claim and has materially prejudiced KFTC's ability to investigate the matters underlying both claims on a contemporaneous basis.

G. CAUSATION AND QUANTUM

16. Further, and in the alternative, KFTC denies that the matters underlying the Ironclad Subcontract Claim or the Summit Subcontract Claim were caused by any act, omission, or instruction of KFTC, and denies the quantum of both claims, which KFTC pleads has not been substantiated.

H. NO DAMAGES

17. In the premises, KFTC pleads that Brackenfield has suffered no loss or damage recoverable against KFTC in respect of the Flow-Through Claim.

I. RELIEF SOUGHT

18. KFTC asks that this action be dismissed with costs.

Date of service: July 22, 2019

DUNMORE KESSLER LLP

Barristers & Solicitors

Toronto, Ontario

J. Petrakis

Lawyer for the Defendant

TO: Whitlock Byrne LLP

Barristers & Solicitors

M. Aldous

Lawyer for the Plaintiff

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

REPLY

(Excerpt — this extract reproduces the paragraphs of the Reply responding to the portions of the Defence relating to the subcontractor flow-through claim only.)

1. Brackenfield joins issue with KFTC on the Statement of Defence, save as hereinafter expressly admitted.

RESPONSE TO PART C — PRIVACY

2. Brackenfield does not allege, and has not alleged, that it has a direct contractual relationship with KFTC on behalf of Ironclad or Summit. Brackenfield's claim is, and has consistently been, that it is entitled in its own right to recover from KFTC, pursuant to the Prime Contract, amounts referable to delay and disruption caused by KFTC's own acts, omissions, and instructions, including the amounts underlying the Ironclad Subcontract Claim and the Summit Subcontract Claim.

RESPONSE TO PART D — THE IRONCLAD AGREEMENT

3. Brackenfield denies the allegations in paragraph 13 of the Defence.
4. Further, and in the alternative, Brackenfield pleads that even if the release given by Ironclad to Brackenfield under the Ironclad Agreement extinguished Ironclad's claim against Brackenfield, that release does not necessarily extinguish or otherwise affect any right Brackenfield may have against KFTC, arising from KFTC's own acts, omissions, and instructions under the Prime Contract, in respect of costs that happened to be incurred by Ironclad but arose from KFTC's own conduct on the Project. Brackenfield denies that the Ironclad Agreement, to which KFTC is not a party, necessarily precludes recovery from KFTC of amounts referable to the Ironclad Subcontract Claim.

RESPONSE TO PART E — THE SUMMIT AGREEMENT

5. Brackenfield denies the allegations in paragraph 14 of the Defence, including KFTC's characterization of the Summit Agreement.
6. Brackenfield pleads that, on the plain wording of the Summit Agreement, Summit released Brackenfield from the Summit Subcontract Claim only to the extent of any amount recovered by Brackenfield from KFTC referable to that claim. The Summit Agreement does not provide for a release of any unrecovered portion of the Summit Subcontract Claim. Brackenfield therefore denies KFTC's assertion that the Summit Agreement operates as a comprehensive release or otherwise precludes Brackenfield from advancing the Summit Subcontract Claim against KFTC.

RESPONSE TO PART F — NOTICE

7. Brackenfield denies the allegations in paragraph 15 of the Defence.
8. Further, and in the alternative, Brackenfield pleads that any non-compliance with Article 11.1 or 11.2 of the Prime Contract does not automatically bar the Flow-Through Claim, by operation of Article 11.3 of the Prime Contract, and that KFTC has suffered no prejudice as a result of the timing of the particulars provided.

RESPONSE TO PART G — CAUSATION AND QUANTUM

9. Brackenfield denies the allegations in paragraph 16 of the Defence and repeats and relies upon the allegations in the Claim.
-

Date of service: August 12, 2019

WHITLOCK BYRNE LLP

Barristers & Solicitors

M. Aldous

Lawyer for the Plaintiff

TO: Dunmore Kessler LLP

Barristers & Solicitors

J. Petrakis

Lawyer for the Defendant

PROJECT EMAIL BUNDLE

(Excerpt)

Selected project correspondence bearing on the events underlying the Ironclad and Summit delay/disruption claims, including potential causation, notice, and quantum issues. Not a complete production — representative excerpts only.

1. Laydown Area Restrictions — Mechanical Room Zone

Date:	August 3, 2016
From:	K. Sharma, KFTC Site Safety Officer
To:	D. Okafor, Brackenfield
Cc:	T. Reyes, Ironclad; R. Voss, KFTC Contract Administrator

Further to the site safety audit conducted July 28, the laydown and staging area adjacent to the mechanical room (Zone M-2) will be restricted to essential personnel only pending resolution of the fall-protection deficiencies identified in the audit. This applies project-wide and is not specific to any trade. Please advise your mechanical subcontractor accordingly.

2. FWD: Laydown Area Restrictions

Date:	August 5, 2016
From:	D. Okafor, Brackenfield
To:	T. Reyes, Ironclad

See below from KFTC. This will affect your crew's staging in M-2 starting immediately. Let me know what it does to your sequence.

3. Site Instruction SI-014 — Mechanical Room Layout Revision (Rev. C)

Date:	September 12, 2016
From:	R. Voss, KFTC
To:	D. Okafor, Brackenfield

Please find attached SI-014, issued pursuant to Article 9 of the Contract. The revision is required following the design team's identification, during code review, that the original mechanical room layout did not provide the clearances required under the current fire code. Revised layout drawings are attached. Please advise your mechanical subcontractor of the impact on rough-in sequencing.

4. RE: SI-014 — Schedule Impact

Date:	October 3, 2016
From:	T. Reyes, Ironclad
To:	D. Okafor, Brackenfield

We've reviewed Rev. C. This requires us to re-route two main distribution runs that were already partially installed under the original layout. We're looking at demolition and re-work, not just a sequencing change. Will follow up with a cost estimate once we've assessed the extent.

5. KFTC General Notice Sent

Date:	December 2, 2016
From:	D. Okafor, Brackenfield
To:	M. Fennell, Brackenfield Project Director

Sent the Art. 11 notice to KFTC yesterday on the mechanical disruption (SI-014 + the M-2 access restriction). Kept it general since Ironclad hasn't given us a number yet — will need them to quantify soon so we can follow up with particulars before the 60-day window KFTC will inevitably point to.

6. Site Instruction SI-021 — Structural Pour Sequence Revision

Date:	January 9, 2017
From:	R. Voss, KFTC
To:	D. Okafor, Brackenfield

Please find attached SI-021. During excavation for Pour Zone S-3, the contractor's crew encountered an active gas distribution duct bank not shown on the utility drawings provided at tender, requiring relocation by Metro Gas Co. before work in that zone can proceed. Pending relocation, the pour sequence must be revised as set out in the attached. We understand this is disruptive and will work with you on scheduling, but the underlying conflict is outside the Commission's control.

7. FWD: SI-021 — worth flagging

Date:	January 11, 2017
From:	D. Okafor, Brackenfield
To:	M. Fennell, Brackenfield Project Director

KFTC's cover note on this one tries to pin the cause on the utility company, not themselves. Worth keeping in mind for Summit's claim — this may not be as clean as the M-2 restriction was for Ironclad.

8. Crew Availability — Heads Up

Date:	February 14, 2017
From:	L. Marchetti, Summit
To:	D. Okafor, Brackenfield

Separately from the SI-021 resequencing, wanted to flag that we're short two finishing crews through end of February — pulled onto a commitment at another site that ran long. Shouldn't affect the S-3 work specifically but didn't want it to be a surprise if our overall numbers look stretched this month.

9. Summit Notice Received

Date:	March 24, 2017
From:	D. Okafor, Brackenfield
To:	M. Fennell, Brackenfield Project Director

Summit's formal notice came in Friday. Their letter attributes everything to SI-021 but I know from Marchetti's Feb. 14 email that they also had their own crew shortage running around the same time. Not going to raise that with them directly, but we should keep it in mind when we get to quantum.

10. Ironclad/Summit Claims — Status

Date:	May 8, 2018
From:	D. Okafor, Brackenfield
To:	M. Fennell, Brackenfield Project Director

We're still sitting on both of these. Ironclad's number has been stable since Sept. 2017 but we haven't pushed it to KFTC yet — wanted the Summit number finalized first so we could submit together. That's on us, not KFTC, at

this point. Need to get this moving; substantial performance is close and I'd rather not be submitting particulars after the fact.

[Additional routine project correspondence not reproduced.]

KFTC SITE INSTRUCTIONS

(Excerpt)

Formal instruments issued pursuant to Article 9 of the Prime Contract, referenced in the Project Email Bundle. Full instruction packages (attached drawings, specifications) not reproduced — cover pages and operative text only.

Site Instruction SI-014

Kestrel Falls Transit Commission — Redwing Crossing Station

Site Instruction No.: SI-014

Date: September 12, 2016

Issued to: Brackenfield Construction (Canada) Ltd.

Re: Mechanical Room Layout Revision (Rev. C)

Pursuant to Article 9 of the Contract, the Contractor is instructed to construct the mechanical room in accordance with the revised layout drawings attached hereto (Drawing M-201, Rev. C), superseding the layout issued at tender.

Reason for Instruction: During code compliance review, the design consultant identified that the mechanical room layout issued at tender did not provide the clearances required under the current fire code for equipment access and egress. Revision C relocates two distribution runs to achieve compliant clearances.

Schedule and cost impact, if any, are to be submitted by the Contractor in accordance with Article 11 of the Contract.

Site Instruction SI-021

Kestrel Falls Transit Commission — Redwing Crossing Station

Site Instruction No.: SI-021

Date: January 9, 2017

Issued to: Brackenfield Construction (Canada) Ltd.

Re: Structural Pour Sequence Revision — Zone S-3

Pursuant to Article 9 of the Contract, the Contractor is instructed to revise the pour sequence for Zone S-3 in accordance with the attached revised sequencing plan (Drawing S-114, Rev. B).

Reason for Instruction: During excavation for Zone S-3, an active gas distribution duct bank operated by Metro Gas Co. was encountered, which was not identified on the utility drawings provided to the Contractor at tender. The duct bank must be relocated by Metro Gas Co. before work in the affected portion of Zone S-3 may proceed. Pending relocation, the Contractor is instructed to complete Zones S-1 and S-2 and to defer S-3 in three separate pour stages as set out in the attached sequencing plan, rather than the single continuous pour contemplated in the original schedule.

The Commission notes that the utility conflict was not identified on the utility information available at tender. The Commission makes no admission as to responsibility for the existence or non-identification of the utility condition. Schedule and cost impact, if any, are to be submitted by the Contractor in accordance with Article 11 of the Contract.

[No further site instructions bearing on the Ironclad or Summit Subcontract Claims have been identified in this extract. Additional instructions relating to the broader delay claim are not reproduced, consistent with the scope of this thread.]

PROJECT SCHEDULE EXTRACTS

(Excerpt)

Baseline schedule (per the Prime Contract Schedule of Work, incorporated at tender) compared against as-built dates for the two work packages relevant to the Ironclad and Summit Subcontract Claims. Full project schedule (all trades, all zones) not reproduced.

Mechanical Rough-In — Zone M-2

Milestone	Baseline date	Actual date	Variance	Note
Mobilize crew, begin rough-in	Jul. 18, 2016	Aug. 1, 2016	+14 days	The 14-day variance arose before the Aug. 3, 2016 access restriction and SI-014 (Sept. 12, 2016); the cause of that variance is not established by the documents included in this extract
Rough-in per original layout (M-201 tender issue)	Aug. 1 – Sep. 30, 2016	Suspended Sept. 12, 2016	—	Suspended on issuance of SI-014
Rough-in per revised layout (M-201 Rev. C)	N/A (not in original schedule)	Sept. 12, 2016 – Feb. 3, 2017	—	Re-sequenced and partially re-worked per SI-014
Mechanical rough-in complete	Oct. 15, 2016	Feb. 3, 2017	+111 days	

Structural Pours — Zone S-3

Milestone	Baseline date	Actual date	Variance	Note
Begin excavation, Zone S-3	Dec. 5, 2016	Dec. 5, 2016	On schedule	
Continuous pour, Zone S-3 (original sequence)	Jan. 3 – Jan. 20, 2017	Suspended Jan. 9, 2017	—	Suspended on issuance of SI-021 (utility conflict)
Three-stage pour per SI-021 sequencing plan	N/A (not in original schedule)	Jan. 9 – Apr. 28, 2017	—	Stage 2 (Feb. 6–24, 2017) overlaps the crew-availability period referenced in the Feb. 14, 2017 Summit email (Project Email Bundle, item 8)
Zone S-3 pours complete	Feb. 10, 2017	Apr. 28, 2017	+77 days	

Notes

- **Variances shown are elapsed calendar days and are not critical-path delay calculations.**
- These extracts show the timing relationship between the site instructions and the affected work; they do not by themselves establish that KFTC's instructions were the sole cause of either variance — the Mechanical Rough-In row shows a 14-day variance that predates SI-014, and the Structural Pours row shows the Stage 2 pour window overlapping a period during which Summit has separately reported (Project Email Bundle, item 8) a crew shortage unrelated to SI-021.
- Underlying daily/weekly schedule updates and the project scheduler's narrative logs are not reproduced in this extract.

IRONCLAD MECHANICAL SYSTEMS INC. — COST BREAKDOWN

(Excerpt)

Supporting breakdown for the \$8,200,000 Ironclad Subcontract Claim, as provided by Ironclad to Brackenfield in connection with the September 3, 2017 updated claim.

Category	Period	Amount	Substantiation
Extended field supervision (site superintendent, foreman)	Sept. 12, 2016 – Feb. 3, 2017	\$1,450,000	Full — supported by weekly time sheets and payroll records for the named individuals
Idle/standby labour (crews unable to proceed during suspension and re-work under SI-014)	Sept. 12, 2016 – Feb. 3, 2017	\$3,850,000	Partial — time sheets support the first 8 weeks (Sept. 12 – Nov. 6, 2016); the remaining ~13 weeks are calculated by applying the average weekly crew cost from the substantiated period, not from crew-specific time sheets for that period
Equipment standby (rented lifts, specialty tools idled during the suspension)	Sept. 12, 2016 – Feb. 3, 2017	\$1,200,000	Full — supported by third-party rental invoices
Re-mobilization (remobilizing crews to the revised layout sequence)	Three events, Oct. 2016 – Jan. 2017	\$1,700,000	Partial — the October 2016 event is supported by crew sign-in sheets; the November 2016 and January 2017 events are calculated using estimated crew size × standard day rate, not sign-in records
Total		\$8,200,000	

Notes

- Ironclad's covering letter (not reproduced) states that time sheets for the estimated portions “were not consistently maintained during the re-sequencing period given the disruption to normal supervision routines.”
- Brackenfield has not independently audited this breakdown against Ironclad's underlying payroll and equipment records; the breakdown as reproduced here is Ironclad's own submission.
- A material portion of the idle-labour and re-mobilization categories rests on estimation rather than contemporaneous time or sign-in records.

The substantiation descriptions above address evidence of the amounts incurred or calculated; they do not independently establish contractual recoverability or causation by KFTC. Documentation supporting that a cost was incurred (e.g., the payroll-backed \$1,450,000 supervision figure or the invoice-backed \$1,200,000 equipment figure) is a separate question from whether KFTC caused that cost, and separate again from whether it is recoverable under the Prime Contract — see the Project Schedule Extracts, which show at least part of the mechanical disruption period is not attributed to any KFTC act in this record.

SUMMIT REBAR & CONCRETE LTD. — COST BREAKDOWN

(Excerpt)

Supporting breakdown for the \$5,600,000 Summit Subcontract Claim, as provided by Summit to Brackenfield in connection with the May 30, 2018 updated claim.

Category	Period	Amount	Substantiation	Attribution
Extended field supervision	Jan. 9 – Apr. 28, 2017	\$900,000	Full — supported by weekly time sheets naming the individuals and hours	Time sheets cover the full Jan. 9 – Apr. 28 window without distinguishing supervision time attributable to the SI-021 resequencing from time attributable to managing the Feb. 2017 crew shortfall
Mobilization/demobilization (three separate events)	Jan., Feb., Apr. 2017	\$2,400,000	Full — all three events supported by crane and equipment mobilization invoices	The February event falls within the crew-shortage window Summit itself disclosed Feb. 14, 2017; the invoice establishes occurrence and cost, not why a third mobilization was required then rather than as part of the SI-021 sequencing already known by early January
Idle labour during resequencing wait periods	Jan. 9 – Apr. 28, 2017, concentrated Feb. 6–24, 2017	\$1,800,000	Full — supported by weekly time sheets showing crews recorded as idle	The Feb. 6–24 idle period overlaps with the crew-availability issue disclosed by Summit on Feb. 14, 2017. The time sheets establish that personnel were recorded as idle, but do not establish whether that idle time resulted from SI-021, Summit's own resource constraints, interactions between the two, or another cause
Extended general conditions/overhead	Jan. 9 – Apr. 28, 2017	\$500,000	Full — calculated per the subcontract's standard extended-overhead formula	The formula runs off the overall extended period rather than off SI-021 specifically, so it carries the same attribution question as the underlying delay itself
Total		\$5,600,000		

Notes

- Unlike the Ironclad breakdown, none of these figures is flagged by Summit or Brackenfield as resting on estimation — the documentation underlying each category is described as complete. The open issue here is attribution between two candidate causes (SI-021 and Summit's own concurrent crew shortage), not the existence or amount of the underlying cost.
- Summit's cost breakdown does not itself address, apportion, or even acknowledge the overlap with the crew shortage it separately disclosed on Feb. 14, 2017 (Project Email Bundle, item 8). Brackenfield's internal correspondence shows it was aware of this overlap by Mar. 24, 2017 (Project Email Bundle, item 9) but did not raise it with Summit.
- As with the Ironclad breakdown, evidence that a cost was incurred and well-documented is a separate question from whether KFTC caused it and whether it is recoverable under the Prime Contract.

INTERNAL BRACKENFIELD CORRESPONDENCE

(Excerpt)

Internal emails among Brackenfield personnel concerning the negotiation of the Ironclad and Summit agreements and the handling of both subcontractor claims. None of the individuals below are lawyers; these are business communications, not privileged legal advice.

1. Ironclad — Liquidating Agreement Draft

Date:	February 20, 2018
From:	D. Okafor, Project Manager
To:	R. Pham, Contracts Manager

Ironclad's fine with a full release and assignment, provided we cap our admin fee at 12% and there's no argument later about whether Brackenfield is still on the hook for any of this. Sanjay [Ironclad's principal] specifically wants the arrangement to be clean — no ambiguity about what Ironclad gets if we recover and no separate claim running alongside it. Let's get that drafted and signed before it drags into the spring.

2. RE: Ironclad — Liquidating Agreement Draft

Date:	March 15, 2018
From:	R. Pham, Contracts Manager
To:	D. Okafor, Project Manager

Signed yesterday. Straightforward.

3. Summit — different situation

Date:	May 3, 2018
From:	D. Okafor, Project Manager
To:	R. Pham, Contracts Manager

Summit's not as easy as Ironclad was. Marchetti wants some protection — he doesn't want to give us a full release if there's a real chance we don't recover anything from KFTC, especially given how SI-021 got framed (KFTC's cover note practically blames the gas company, not themselves). He's asked for something tied to what we actually collect. I don't love open-ended exposure but I also don't want to hold up getting this signed — we need it in place before we go to KFTC with the combined number.

4. RE: Summit — draft terms

Date:	June 15, 2018
From:	R. Pham, Contracts Manager
To:	D. Okafor, Project Manager

Here's where we landed with Summit's counsel: release only to the extent of recovery, 90/10 split on anything we do get, no assignment (they didn't want to give one, and honestly given the SI-021 causation question I didn't push hard on it). I know this isn't as clean as the Ironclad paper. Wanted to flag that before we sign in case you want a different structure, but Summit's not moving off this and I don't think we should let the claim submission slip any further waiting on it.

5. RE: RE: Summit — draft terms

Date:	June 20, 2018
--------------	---------------

From:	D. Okafor, Project Manager
To:	R. Pham, Contracts Manager

Understood, let's sign it as-is. We can deal with the specifics later if it ever actually comes up — priority right now is getting both numbers over to KFTC.

6. Claim submission — final check

Date:	September 10, 2018
From:	R. Pham, Contracts Manager
To:	D. Okafor, Project Manager

Both agreements are signed and on file. Ready to send the combined submission to KFTC whenever you and Fennell sign off. One thing — do we want to flag to KFTC that the two arrangements aren't identical, or just present the combined number? My instinct is combined number, keep it simple, but wanted to check.

7. RE: Claim submission — final check

Date:	September 12, 2018
From:	D. Okafor, Project Manager
To:	R. Pham, Contracts Manager

Combined number. No need to get into the weeds on the agreement structures at this stage.

[Additional internal correspondence not bearing on the negotiation of the two agreements or the claim submission is not reproduced.]

NOTICE AND CLAIM RECORD

(Excerpt)

Internal tracking log maintained by Brackenfield's contracts team (R. Pham), consolidating the status of notices and claims relevant to the Ironclad and Summit Subcontract Claims. Produced as a contemporaneous business record, not prepared for litigation.

Date	Entry	Status noted in log
Dec. 1, 2016	General Art. 11 notice sent to KFTC — mechanical trade	<i>"Notice sent. No quantum yet — Ironclad still assessing SI-014 impact. Follow up needed once they have a number."</i>
Feb. 14, 2017	Ironclad particulars received (\$6,100,000)	<i>"First number in from Ironclad. Not yet forwarded to KFTC — will hold for final figure."</i>
Apr. 10, 2017	General Art. 11 notice sent to KFTC — structural trade	<i>"Notice sent. Summit hasn't quantified yet either."</i>
Sept. 3, 2017	Ironclad updated claim received (\$8,200,000)	<i>"Ironclad's number appears final. Still waiting on Summit before going to KFTC — don't want to submit piecemeal."</i>
May 30, 2018	Summit updated claim received (\$5,600,000)	<i>"Both numbers now in. Need liquidating agreements finalized before we submit — Fennell wants those signed first."</i>
Sept. 17, 2018	Combined claim submitted to KFTC	<i>"Submitted. Overdue on this — should have gone in months ago once Ironclad's number was stable."</i>

Note

The log shows no entries between September 2017 and May 2018 despite Ironclad's figure being described internally as "final" as of September 2017. The log contains no entry showing that the delay between receipt of Ironclad's updated claim in September 2017 and the combined submission to KFTC in September 2018 resulted from any request, extension, or direction from KFTC. The legal significance, if any, of the timing reflected in this record is not addressed in the log.

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

DISCOVERY PLAN

(Agreed between counsel pursuant to Rule 29.1 of the Rules of Civil Procedure. Excerpt — limited to the flow-through claim, consistent with the scope of this extract.)

Dated: September 16, 2019

1. Scope of Documentary Discovery

The parties agree that documentary discovery for this issue will address:

- (a) the terms and negotiation of the Ironclad Agreement and the Summit Agreement;
- (b) the causes of the delay/disruption underlying the Ironclad Subcontract Claim and the Summit Subcontract Claim, including Site Instructions SI-014 and SI-021 and the circumstances giving rise to each;
- (c) the substantiation of the amounts claimed by Ironclad and Summit;
- (d) the timing and content of notices given under Article 11 of the Prime Contract, and Brackenfield's knowledge of the underlying events at the relevant times;
- (e) the circumstances of the Sep. 17, 2018 consolidated claim submission.

2. Custodians

Brackenfield: D. Okafor (Project Manager); R. Pham (Contracts Manager); M. Fennell (Project Director).

KFTC: R. Voss (Contract Administrator); K. Sharma (Site Safety Officer, custodian for the Aug. 3, 2016 restriction only).

3. Document Categories

The parties acknowledge that documents within the categories identified above have already been exchanged or produced in part. Each party will identify any additional relevant documents in its Affidavit of Documents and make production in accordance with the Rules. KFTC's counsel has flagged that KFTC's pre-tender design review file and utility-locate records for Zone S-3 have not yet been reviewed for relevance and will be addressed in KFTC's Affidavit of Documents.

The parties further agree that documentary discovery should extend to records concerning Brackenfield's knowledge of SI-014, the M-2 access restriction, and SI-021, including records bearing on when Brackenfield first became aware, or reasonably ought to have become aware, of the circumstances giving rise to the Ironclad Subcontract Claim and the Summit Subcontract Claim.

4. Persons to Be Examined

D. Okafor on behalf of Brackenfield; R. Voss on behalf of KFTC. Each examination limited to one day absent agreement otherwise. The parties do not presently propose to examine any representative of Ironclad or Summit; either party may seek to do so, or to obtain further evidence from them, if the examinations of Mr. Okafor and Mr. Voss identify a need.

5. Timetable

Step	Date
Exchange of Affidavits of Documents	October 4, 2019
Examination for Discovery — D. Okafor	November 14, 2019
Examination for Discovery — R. Voss	December 5, 2019
Undertakings answered	Within 60 days of the relevant examination

6. Electronic Discovery

The parties will conduct proportionate searches of the identified custodians' electronic records using agreed date ranges and, where appropriate, agreed search terms. The parties may meet and confer regarding additional custodians or search parameters if the initial production identifies a material gap.

7. Other Matters

The parties do not agree that this issue is presently suited to a summary determination and have not addressed the question in this plan; each party reserves its position on procedure pending completion of discovery.

WHITLOCK BYRNE LLP — Lawyers for the Plaintiff
DUNMORE KESSLER LLP — Lawyers for the Defendant

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

AFFIDAVIT OF DOCUMENTS (PLAINTIFF)

(Excerpt — Schedules limited to documents relevant to the flow-through claim, consistent with the scope of this extract. Sworn by R. Pham, Contracts Manager, October 4, 2019.)

Schedule A — Relevant documents in Brackenfield's possession, control, or power that are not privileged

1. Prime Contract, dated April 8, 2013, and all site instructions issued thereunder relevant to this issue (SI-014, SI-021).
2. Ironclad Subcontract, dated June 3, 2013.
3. Summit Subcontract, dated August 19, 2013.
4. Claim Assignment and Liquidating Agreement (Brackenfield–Ironclad), dated March 14, 2018.
5. Conditional Settlement and Cost-Sharing Agreement (Brackenfield–Summit), dated June 22, 2018.
6. Correspondence between Brackenfield and Ironclad, 2016–2017, re: delay/disruption notice and particulars.
7. Correspondence between Brackenfield and Summit, 2017–2018, re: delay/disruption notice and particulars.
8. Correspondence between Brackenfield and KFTC, 2016–2018, re: Article 11 notices, the consolidated claim submission, and KFTC's rejection.
9. Internal Brackenfield project schedule records for Zone M-2 (mechanical) and Zone S-3 (structural).
10. Internal Brackenfield email correspondence, 2016–2018, re: SI-014, SI-021, and the Ironclad and Summit claims.
11. Internal Brackenfield email correspondence, February–September 2018, re: negotiation of the Ironclad Agreement and the Summit Agreement, and the September 2018 claim submission.
12. Internal notice and claim tracking log maintained by Brackenfield's contracts department.
13. Ironclad's cost breakdown in support of the Ironclad Subcontract Claim, and underlying time sheets, payroll records, and equipment rental invoices in Brackenfield's possession.
14. Summit's cost breakdown in support of the Summit Subcontract Claim, and underlying time sheets and mobilization/demobilization invoices in Brackenfield's possession.

Schedule B — Relevant documents over which privilege is claimed

1. Correspondence and communications between Brackenfield and Whitlock Byrne LLP from August 15, 2018 (the date of retainer) onward, concerning this dispute, the Ironclad Agreement, the Summit Agreement, or the claim against KFTC. **Privilege claimed:** solicitor-client privilege and, where applicable, litigation privilege in respect of documents created for the dominant purpose of reasonably contemplated or existing litigation.
2. Internal Brackenfield communications reflecting or seeking legal advice received from Whitlock Byrne LLP after August 15, 2018.

Note: internal Brackenfield correspondence predating the applicable privilege period (see Schedule A, items 10–11) is not claimed as privileged and has been produced.

Schedule C — Relevant documents formerly in Brackenfield's possession, control, or power but no longer in its possession, control, or power

1. Brackenfield does not presently possess contemporaneous Ironclad crew time sheets for the period November 7, 2016 to February 3, 2017 relating to the estimated portion of the idle-labour claim (see `litigation\_file/11\_ironclad\_cost\_breakdown.md`, which confirms time sheets exist for the preceding Sept. 12 – Nov. 6, 2016 period only). Brackenfield has been advised by Ironclad that contemporaneous time sheets were not consistently maintained during this period and that no additional responsive time sheets have been located.

I have made a diligent search of my records and the records of Brackenfield Construction (Canada) Ltd. and to the best of my knowledge, information, and belief this Affidavit discloses all documents relevant to the matters in issue in this action, insofar as this extract addresses the flow-through claim.

R. Pham

Contracts Manager, Brackenfield Construction (Canada) Ltd.

Sworn before me at Toronto, Ontario, October 4, 2019.

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

AFFIDAVIT OF DOCUMENTS (DEFENDANT)

(Excerpt — Schedules limited to documents relevant to the flow-through claim, consistent with the scope of this extract. Sworn by R. Voss, Contract Administrator, October 4, 2019.)

Schedule A — Relevant documents in KFTC's possession, control, or power that are not privileged

1. Prime Contract, dated April 8, 2013, including tender documents and drawings.
2. Site Instruction SI-014 (Mechanical Room Layout Revision, Rev. C), dated September 12, 2016, and attached drawings.
3. Site Instruction SI-021 (Structural Pour Sequence Revision, Zone S-3), dated January 9, 2017, and attached drawings.
4. K. Sharma memorandum re: laydown/access restrictions, Zone M-2, dated August 3, 2016, and the underlying site safety audit report dated July 28, 2016.
5. Correspondence between KFTC and Brackenfield, 2016–2018, re: Article 11 notices, the consolidated claim submission, and KFTC's rejection.
6. Design consultant's pre-tender review records relating to the mechanical room layout and the circumstances giving rise to SI-014, including responsive design-review correspondence and drawing-review records.
7. Utility-locate and tender-preparation records relating to Zone S-3 and the utility conflict underlying SI-021, including responsive utility information available during tender preparation.
8. Internal KFTC correspondence, 2018, re: the Commission's review and rejection of Brackenfield's consolidated claim submission.

Schedule B — Relevant documents over which privilege is claimed

1. Correspondence and communications between KFTC and Dunmore Kessler LLP from June 3, 2019, following commencement of this proceeding, onward. **Privilege claimed:** solicitor-client privilege and, where applicable, litigation privilege.
2. Internal KFTC legal department memoranda and communications concerning this dispute, including documents containing or reflecting legal advice and documents prepared for the dominant purpose of reasonably contemplated or existing litigation, from November 5, 2018 onward. **Privilege claimed:** solicitor-client privilege and/or litigation privilege, as applicable.

Schedule C — Relevant documents formerly in KFTC's possession, control, or power but no longer in its possession, control, or power

None identified at this time.

***Note on Schedule A, items 6 and 7:** these categories were identified as relevant during preparation of the parties' Discovery Plan. Any additional responsive documents identified following examinations for discovery will be produced in accordance with the Rules of Civil Procedure and any undertakings given.*

I have made a diligent search of the records of Kestrel Falls Transit Commission and to the best of my knowledge, information, and belief this Affidavit discloses all documents relevant to the matters in issue in this action, insofar as this extract addresses the flow-through claim.

R. Voss

Contract Administrator, Kestrel Falls Transit Commission

Sworn before me at Toronto, Ontario, October 4, 2019.

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

EXAMINATION FOR DISCOVERY OF D. OKAFOR

(On behalf of the Plaintiff — Excerpt. Examined by J. Petrakis for the Defendant. November 14, 2019. Numbered questions as they would appear in a transcript; non-relevant colloquy omitted.)

Q112. You'll agree the mechanical crew was supposed to begin rough-in on July 18, 2016, but didn't actually start until August 1, 2016?

A. That's what the schedule extract shows, yes.

Q113. What caused that two-week gap?

A. That was on our side. Ironclad's crew was finishing up another job and we didn't have them mobilized as early as the schedule called for. That wasn't a KFTC issue.

Q114. So that 14-day period has nothing to do with the Commission?

A. Not that I'm aware of, no.

Q115. Turning to the fire code issue behind SI-014 — when did you first become aware there might be a clearance problem with the mechanical room layout?

A. SI-014 itself is dated September 12, 2016, and that's when we were formally told.

Q116. I'm not asking when you were formally told. I'm asking when you first became aware, in any way, that there might be an issue.

A. I honestly don't remember an exact date. There may have been some informal conversation with KFTC's design team before the instruction was issued — that kind of thing happens on a project like this — but I couldn't tell you when, or what was actually said.

Q117. Would Brackenfield have any records of that?

A. I'd have to check. I'm not confirming there's anything to find, just that I can't rule it out from memory. *(Undertaking — see Undertakings & Refusals Chart, Item 1.)*

Q118. Let's turn to Summit. You were aware in February 2017 that Summit had its own crew shortage unrelated to SI-021?

A. Yes, Marchetti told me that directly.

Q119. And you didn't raise that with Summit when their claim came in?

A. No.

Q120. Why not?

A. I flagged it internally because I thought it was something we'd have to consider when we reviewed Summit's numbers. At that stage I didn't know whether the crew issue had actually affected the costs Summit was claiming, so I didn't raise it with them.

Q121. Do you accept that some portion of Summit's claimed idle labour might be attributable to that shortage rather than to SI-021?

A. I can't tell you what portion. I don't have a breakdown that separates it out, and I don't think Summit does either.

Q122. Moving to September 2018 — you and Mr. Pham discussed whether to tell KFTC that the Ironclad and Summit agreements weren't the same, and decided not to. Why?

A. We weren't trying to hide anything. Both amounts were legitimate claims as far as we were concerned, and we didn't think the internal structure of our arrangements with our own subcontractors was something we needed to walk KFTC through in a claim letter. If they had questions about it they could ask, which they did.

Q123. Do you agree, looking back, that the two arrangements are materially different?

A. I agree they're not worded the same way, yes.

[Remaining examination not reproduced — not bearing on the flow-through claim as bounded in this extract.]

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

EXAMINATION FOR DISCOVERY OF R. VOSS

(On behalf of the Defendant — Excerpt. Examined by M. Aldous for the Plaintiff. December 5, 2019. Numbered questions as they would appear in a transcript; non-relevant colloquy omitted.)

Q84. SI-014 says the fire code clearance problem was identified “during code compliance review.” When did that review happen?

A. I believe it was in the months before the instruction was issued, but I wasn't the one who conducted it — that was the design consultant's work.

Q85. Was any version of that clearance issue known before the Prime Contract was even tendered, in April 2013?

A. I don't know. I'd have to look at the design consultant's file from that period.

Q86. Will you undertake to check?

A. Yes. *(Undertaking — see Undertakings & Refusals Chart, Item 2.)*

Q87. Turning to SI-021 — the instruction says the gas utility duct bank “was not identified on the utility drawings provided to the Contractor at tender.” Was a utility locate request submitted before tender documents went out?

A. I believe so, but I'm not certain whether it was completed, or what it showed. That would be in our tender-preparation file.

Q88. Will you undertake to check whether a pre-tender utility locate was performed for Zone S-3, and what it showed?

A. I'll check what we have. I can't promise the file still exists — this is going back to before 2013 preparation work — but I'll look. *(Undertaking — see Undertakings & Refusals Chart, Item 3.)*

Q89. SI-021 also says the Commission “makes no admission as to responsibility for the existence or non-identification of the utility condition.” Whose idea was it to include that language?

A. That's standard wording our legal department asks us to include in instructions where there's any question about the underlying cause. It's not specific to this instruction.

Q90. So it wasn't added because someone at KFTC had a particular concern about this instruction?

A. Not that I'm aware of. It's boilerplate.

Q91. KFTC has accepted responsibility for 340 of the 812 days of delay. Why not more?

A. That's the Commission's assessment of what's properly attributable to our own conduct, based on the project record as a whole. I'm not in a position to go beyond that today — that's really a question for the broader delay claim, which isn't part of this examination.

Q92. Fair enough. Last question on this topic — the August 3, 2016 access restriction in Zone M-2. That applied to all trades, not just Ironclad?

A. Correct, it was a project-wide safety measure. It wasn't directed at the mechanical trade specifically.

Q93. KFTC has pleaded that it was prejudiced because full particulars of the Ironclad and Summit claims weren't provided until September 2018. What investigation would KFTC have carried out differently if those particulars had been provided earlier?

A. We would have wanted to look at labour deployment records, site conditions, and trade-specific records contemporaneously rather than after the fact. I can't point you to a specific record that we know was lost or destroyed because of the delay — I just know contemporaneous review is generally more reliable than reconstructing things years later.

[Remaining examination not reproduced — not bearing on the flow-through claim as bounded in this extract.]

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

UNDERTAKINGS AND REFUSALS CHART

(Excerpt — limited to the flow-through claim. Compiled jointly by counsel following the examinations of D. Okafor and R. Voss.)

#	Question / Request	Given by	Type	Status / Answer
1	Whether Brackenfield has any records of informal communications, before the Sept. 12, 2016 issuance of SI-014, indicating awareness of a potential mechanical room clearance issue (Examination of D. Okafor, Q117)	Brackenfield	Undertaking	Answered, Jan. 15, 2020. Brackenfield searched Mr. Okafor's records and found no written communications predating SI-014 referring to the clearance issue. Brackenfield confirms it cannot identify a specific date on which Mr. Okafor, or Brackenfield generally, first became aware of the issue, beyond his evidence that informal conversations may have occurred at an unknown date.
2	Whether the mechanical room fire code clearance issue underlying SI-014 was known to KFTC's design consultant before the Prime Contract was tendered in April 2013 (Examination of R. Voss, Q86)	KFTC	Undertaking	Answered, Jan. 22, 2020. KFTC produced the design consultant's pre-tender review file. A review memorandum dated October 2012 identifies "a potential clearance issue requiring verification at detailed design stage" in the mechanical room layout (see <i>litigation_file/21</i> , KFTC Supplementary Production). The design was issued at tender in its original form without further documented verification of that item.
3	Whether a pre-tender utility locate was performed for Zone S-3 before tender, and what it showed (Examination of R. Voss, Q88)	KFTC	Undertaking	Partially answered, Feb. 3, 2020. KFTC located a utility locate request submitted in 2011 but no completed response or results in its file. KFTC's counsel advises the matter remains under internal investigation and that KFTC cannot presently confirm whether the request was completed, what it showed, or why no response is on file. Outstanding.
4	Whether Summit will provide a further breakdown apportioning its claimed costs between the SI-021 resequencing and the crew shortage it separately disclosed (raised by Brackenfield's counsel following the examinations, on KFTC's request)	N/A — directed to Summit, a non-party	Post-examination request / informal inquiry	Declined. Summit is not a party to this action. Brackenfield made an informal request to Summit for a supplementary breakdown; Summit declined to provide one.
5	Why KFTC accepted responsibility for 340 of the 812 days of delay and not more (Examination of R. Voss, Q91)	KFTC	Refusal	Refused as beyond scope. KFTC's counsel takes the position this question relates to the broader delay claim, which is outside the scope of this examination as bounded to the flow-through issue. Brackenfield's counsel reserves the right to pursue this question in the broader delay claim proceeding (File No. 2018-0446).

Note

Item 1: answered, no responsive records located. Item 2: answered, document produced. Item 3: partially answered, matter remains under investigation. Item 4: informal request made, declined. Item 5: refused as beyond scope, reserved for the separate proceeding.

MEMORANDUM

To: KFTC Project File — Redwing Crossing Station (Birchwood Station)
From: [Design Consultant — mechanical/electrical division]
Date: October 2012
Re: Mechanical Room Layout — Design Review Comments

This memorandum records comments arising from our review of the mechanical room layout (Drawing M-201) in advance of tender issuance.

Item 4: The clearances shown around the proposed distribution runs in the northeast corner of the mechanical room appear tight relative to the equipment access and egress requirements under the applicable fire code. We recommend this be verified against the fire code requirements at the detailed design stage before the layout is finalized for construction.

All other reviewed items are acceptable as shown.

Please advise if you would like us to proceed with the verification noted in Item 4, or whether this will be addressed during detailed design following contract award.

Production Note (added by KFTC for this supplementary production): No further correspondence responding to this memorandum, or documenting completion of the recommended verification, has been located in KFTC's records. The tender documents issued for this project, and the mechanical room layout as tendered, reflect Drawing M-201 in the form reviewed above, without a revised layout addressing Item 4. The layout was subsequently revised by Site Instruction SI-014, dated September 12, 2016.

Record-status note: The memorandum above is dated October 2012. The Production Note is a later litigation-production annotation and is not part of the original 2012 memorandum.

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

AFFIDAVIT OF T. REYES

(Sworn June 12, 2020 — Excerpt, limited to the flow-through claim. T. Reyes is not a party to this action; this affidavit is sworn at Brackenfield's request in connection with the Ironclad Subcontract Claim.)

I, T. Reyes, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the Project Manager for Ironclad Mechanical Systems Inc. ("Ironclad") and was Ironclad's project manager throughout its work on the Redwing Crossing Station. I have personal knowledge of the matters deposed to in this affidavit, except where stated to be based on information and belief, in which case I believe the information to be true.
2. Ironclad performed the mechanical subcontract scope on the Project under a subcontract with Brackenfield dated June 3, 2013.
3. On September 12, 2016, KFTC issued Site Instruction SI-014, revising the mechanical room layout previously issued at tender. This required Ironclad to re-route two main distribution runs that had already been partially installed under the original layout, involving both demolition of completed work and re-installation to the revised layout. This was disruptive to our planned sequence and required additional supervision, standby, and re-mobilization of crews.
4. I am aware that Ironclad's mobilization for rough-in was delayed approximately two weeks relative to the original schedule, from July 18 to August 1, 2016. I confirm that this delay was attributable to Ironclad's crew completing work on another project commitment. I am not aware of any KFTC conduct that contributed to this specific delay.
5. I have been asked whether Ironclad or I had any awareness, before September 12, 2016, that a clearance issue might exist with the mechanical room layout. I do not have a specific recollection of any

such awareness. It is possible there were informal conversations on site with KFTC's design team prior to that date, as is common in the ordinary course of a project of this size, but I cannot say when any such conversation occurred or what was discussed, and I am not aware of any Ironclad record of one.

6. The August 3, 2016 laydown/access restriction in Zone M-2 affected our crew's staging in that area. I understand this restriction applied to all trades working in the affected zone, not to Ironclad specifically.

7. I reviewed Ironclad's cost breakdown submitted in support of the Ironclad Subcontract Claim. The breakdown reflects Ironclad's assessment of the additional costs associated with the disruption described above. For approximately the period from November 2016 to February 2017, crew-specific time sheets were not consistently maintained. The idle-labour component for that period was therefore calculated using the average weekly crew cost derived from the period for which contemporaneous time sheets were available. Certain re-mobilization costs were similarly calculated using estimated crew size and applicable standard day rates where contemporaneous sign-in records were unavailable. I acknowledge that these calculations are estimates rather than records of actual hours worked or crews present on the relevant dates.

8. Based on my involvement in the Project and my review of Ironclad's records, I believe the amounts claimed represent Ironclad's reasonable assessment of the additional costs associated with the disruption described above. I acknowledge, however, that portions of the claim are based on the estimation methods described in paragraph 7 rather than complete contemporaneous records.

T. Reyes

Sworn before me at Toronto, Ontario, June 12, 2020.

[Remaining affidavit not reproduced — not bearing on the flow-through claim as bounded in this extract.]

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

AFFIDAVIT OF L. MARCHETTI

(Sworn June 15, 2020 — Excerpt, limited to the flow-through claim. L. Marchetti is not a party to this action; this affidavit is sworn at Brackenfield's request in connection with the Summit Subcontract Claim.)

I, L. Marchetti, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the Project Manager for Summit Rebar & Concrete Ltd. ("Summit") and was Summit's project manager throughout its work on the Redwing Crossing Station. I have personal knowledge of the matters deposed to in this affidavit, except where stated to be based on information and belief, in which case I believe the information to be true.
2. Summit performed the structural concrete subcontract scope on the Project under a subcontract with Brackenfield dated August 19, 2013.
3. On January 9, 2017, KFTC issued Site Instruction SI-021, revising the pour sequence for Zone S-3 as a result of an unmapped gas utility duct bank encountered during excavation. This required Summit to complete Zones S-1 and S-2 and defer S-3 into three separate pour stages, rather than the single continuous pour originally planned. This required additional mobilization and demobilization of crews and equipment, and additional supervision, over a longer period than originally scheduled.
4. Separately, and unrelated to SI-021, Summit experienced a shortage of two finishing crews during February 2017, as they had been committed to another project that ran longer than expected. I disclosed this to Brackenfield's project manager, D. Okafor, at the time.
5. Summit's cost breakdown submitted in support of its claim includes a category for idle labour concentrated in the period February 6–24, 2017. I have been asked whether this idle time is attributable to the SI-021 resequencing, to the crew shortage described above, or to both. In my recollection, the SI-021

resequencing materially affected Summit's ability to deploy its crews during that period. However, Summit's crew shortage also occurred during part of the same period. Summit did not maintain records that separately attribute the idle time or associated costs between those two circumstances, and I am unable, based on the records presently available to me, to reliably quantify what portion is attributable to each.

6. I understand that, following the examinations for discovery in this action, Brackenfield asked Summit whether it could provide a further breakdown apportioning the claimed costs between the SI-021 resequencing and Summit's crew shortage. Summit did not provide a further breakdown. Based on my review of Summit's available records, I am not aware of contemporaneous documentation that would permit a reliable allocation of those costs between the two circumstances.

7. I was involved on Summit's behalf in the discussions leading to the June 22, 2018 Conditional Settlement and Cost-Sharing Agreement with Brackenfield. During those discussions, Summit was not prepared to provide Brackenfield with an unconditional release of the Summit Claim. Summit's concern was that, if Brackenfield recovered less than the amount of Summit's claim from KFTC, or recovered nothing, Summit did not want the agreement itself to foreclose whatever rights Summit might otherwise have against Brackenfield. I understood that this concern was reflected in the agreement ultimately executed. I do not offer any opinion as to the legal interpretation or effect of that agreement.

8. Based on my involvement in the Project and my review of Summit's records, I believe the amounts claimed accurately reflect costs incurred by Summit during the period of disruption described above. I acknowledge, however, that the available records do not permit all of those costs to be reliably apportioned between the SI-021 resequencing and Summit's concurrent crew shortage.

L. Marchetti

Sworn before me at Toronto, Ontario, June 15, 2020.

[Remaining affidavit not reproduced — not bearing on the flow-through claim as bounded in this extract.]

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

AFFIDAVIT OF D. OKAFOR

(Sworn July 8, 2020 — Excerpt, limited to the flow-through claim.)

I, D. Okafor, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the Project Manager for Brackenfield Construction (Canada) Ltd. ("Brackenfield") and was Brackenfield's project manager throughout the Redwing Crossing Station project. I have personal knowledge of the matters deposed to in this affidavit, except where stated to be based on information and belief, in which case I believe the information to be true. I was examined for discovery in this action on November 14, 2019, and this affidavit is consistent with my evidence on that examination.
2. Brackenfield subcontracted mechanical work to Ironclad Mechanical Systems Inc. ("Ironclad") and structural concrete work to Summit Rebar & Concrete Ltd. ("Summit"). Both subcontractors submitted delay/disruption claims to Brackenfield, which Brackenfield ultimately submitted to KFTC as part of a consolidated claim on September 17, 2018.
3. Ironclad's claim, in the amount of \$8,200,000, relates to disruption associated with the August 3, 2016 Zone M-2 access restriction and Site Instruction SI-014, including the re-routing of mechanical distribution runs already partially installed under the layout issued at tender. I understand from Brackenfield's project schedule records that Ironclad's mechanical rough-in was ultimately completed 111 days later than originally scheduled. I gave evidence on my examination that the first 14 days of that variance were attributable to Ironclad's own crew mobilization, not to KFTC, and I confirm that evidence here.
4. Summit's claim, in the amount of \$5,600,000, arises principally from Site Instruction SI-021, which required a revised, three-stage pour sequence for Zone S-3 following the discovery of an unmapped gas

utility conflict. I was aware, from on or about February 2017, that Summit had also experienced a crew shortage unrelated to SI-021 during that same period. I gave evidence on my examination that I could not say what portion of Summit's claimed idle labour was attributable to SI-021 as opposed to the shortage, and I confirm that evidence here.

5. Brackenfield entered into a Claim Assignment and Liquidating Agreement with Ironclad on March 14, 2018, and a Conditional Settlement and Cost-Sharing Agreement with Summit on June 22, 2018. Both agreements were negotiated in good faith with each subcontractor, and I understand they are not worded identically. When Brackenfield submitted its consolidated claim to KFTC on September 17, 2018, Brackenfield presented the Ironclad and Summit amounts together as a combined figure. I gave evidence on my examination that this was a matter of presentation and administrative simplicity, and that Brackenfield considered both amounts to be legitimately recoverable from KFTC. I did not intend to conceal the existence of the underlying arrangements from KFTC. KFTC subsequently requested information concerning those arrangements in its November 5, 2018 response to Brackenfield's claim.

6. Brackenfield gave KFTC general notice under Article 11 of the Prime Contract on December 1, 2016 in relation to the mechanical disruption and on April 10, 2017 in relation to the structural sequencing disruption. Full particulars of the Ironclad and Summit amounts were not provided to KFTC until the consolidated claim submission of September 17, 2018. As I stated on my examination for discovery, I cannot identify a specific date before the September 12, 2016 issuance of SI-014 on which I first became aware that there might be a mechanical-room clearance issue. There may have been informal discussions before SI-014 was issued, but I cannot recall when they occurred or what was said. Brackenfield's subsequent search did not identify written communications predating SI-014 that resolve that question.

7. Based on my involvement in the Project and my review of Brackenfield's records, I believe that SI-014 and SI-021 materially contributed to the delay and disruption experienced by Ironclad and Summit respectively. I acknowledge, however, that the record identifies other contributing circumstances, including Ironclad's initial mobilization delay and Summit's concurrent crew shortage, and I am not able to quantify the extent to which each circumstance contributed to the subcontractors' respective claimed costs.

D. Okafor

Sworn before me at Toronto, Ontario, July 8, 2020.

[Remaining affidavit not reproduced — not bearing on the flow-through claim as bounded in this extract.]

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

AFFIDAVIT OF R. VOSS

(Sworn July 15, 2020 — Excerpt, limited to the flow-through claim.)

I, R. Voss, of the City of Toronto, in the Province of Ontario, MAKE OATH AND SAY:

1. I am the Contract Administrator for Kestrel Falls Transit Commission ("KFTC") and have held that role throughout the Redwing Crossing Station project. I have personal knowledge of the matters deposed to in this affidavit, except where stated to be based on information and belief, in which case I believe the information to be true. I was examined for discovery in this action on December 5, 2019, and this affidavit is consistent with my evidence on that examination.

2. KFTC has no contract with, and no direct contractual relationship to, Ironclad Mechanical Systems Inc. ("Ironclad") or Summit Rebar & Concrete Ltd. ("Summit"). Article 8.2 of the Prime Contract expressly provides that nothing in the Prime Contract, or in any subcontract entered into by Brackenfield, creates a contractual relationship between KFTC and any subcontractor.

3. KFTC issued Site Instruction SI-014 on September 12, 2016, revising the mechanical room layout following identification, during code compliance review, of a clearance issue relative to fire code requirements. Following the examination for discovery in this action, KFTC produced a design consultant's pre-tender review memorandum dated October 2012, which recommended verification of certain clearances "at the detailed design stage." I am advised, and believe, that no further documented verification of that item was located in KFTC's records prior to the issuance of SI-014. Based on the records I have reviewed, I am unable to determine whether the potential clearance issue identified in the October 2012 memorandum was the same issue ultimately addressed by SI-014, or whether the earlier issue would have constituted a code deficiency if left unaddressed.

4. KFTC issued Site Instruction SI-021 on January 9, 2017, revising the pour sequence for Zone S-3 following the discovery of a gas utility duct bank not identified on the utility drawings provided to Brackenfield at tender. Following its searches in response to the undertaking given on my examination for discovery, KFTC located a utility-locate request submitted in 2011 but did not locate a completed response or results associated with that request. Based on the records located and reviewed to date, I am unable to confirm whether the requested locate was completed or, if it was, what it disclosed.

5. I have reviewed the materials provided in support of the Ironclad and Summit amounts. Those materials show that portions of Ironclad's claimed idle-labour and re-mobilization costs were calculated using estimation methods where contemporaneous time sheets or sign-in records were unavailable. The Summit materials document the costs claimed but do not separately allocate costs between the SI-021 resequencing and the crew shortage Summit reported during part of the same period. I am not aware of any subsequent material provided to KFTC that resolves either of those matters.

6. Brackenfield's general notices under Article 11 of the Prime Contract, given December 1, 2016 and April 10, 2017, did not identify either subcontractor by name or quantify any amount. Full particulars of both claims were not provided to KFTC until September 17, 2018. The passage of time reduced KFTC's opportunity to investigate the claimed impacts contemporaneously. However, as I stated on my examination for discovery, I am not able to identify a specific record that KFTC knows to have been lost or become unavailable because of the timing of the particulars.

7. Based on the records I have reviewed, the matters described above remain disputed between KFTC and Brackenfield, including the causes and quantum of the subcontractor costs and the adequacy and timing of the information provided to KFTC concerning those costs. I understand that the legal effect of the Prime Contract and the agreements between Brackenfield and Ironclad and Summit is a matter to be determined in this proceeding.

R. Voss

Sworn before me at Toronto, Ontario, July 15, 2020.

[Remaining affidavit not reproduced — not bearing on the flow-through claim as bounded in this extract.]

Court File No. CV-19-00623145-00CL
ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

EXPERT REPORT — DELAY AND QUANTUM (FLOW-THROUGH CLAIM)

(Prepared August 14, 2020 — Excerpt, limited to the flow-through claim. Retained by Whitlock Byrne LLP on behalf of the Plaintiff. This report is deliberately narrow in scope, addressing only the Ironclad and Summit Subcontract Claims, and does not address the broader delay claim (File No. 2018-0446).)

Prepared by: K. Ferreira, P.Eng., Meridian Forensic Consulting Inc.

Acknowledgment of Expert's Duty (Rules 4.1.01 and 53.03)

I acknowledge that it is my duty to provide evidence in relation to this proceeding that is fair, objective, and non-partisan; that is related only to matters within my area of expertise; and to provide such additional assistance as the Court may reasonably require. I acknowledge that this duty prevails over any obligation I owe to the party by whom I am engaged.

An executed Acknowledgment of Expert's Duty in Form 53 is attached to the complete version of this report as Appendix A.

1. Qualifications, Instructions, Scope and Documents Reviewed

1.1 I am a professional engineer with experience in construction scheduling, delay analysis, disruption assessment, and the review and quantification of construction costs. My curriculum vitae, setting out my education, professional qualifications, and relevant experience, is attached to the complete version of this report.

1.2 I was retained by Whitlock Byrne LLP on behalf of Brackenfield Construction (Canada) Ltd. to provide independent expert assistance concerning: (a) the causes and timing of delay and disruption underlying the Ironclad and Summit Subcontract Claims; and (b) the degree to which the amounts claimed are supported and capable of verification on the evidentiary record provided to me. I was not asked to express opinions on questions of law or contractual interpretation.

1.3 I reviewed: the Prime Contract excerpts; Site Instructions SI-014 and SI-021; the Project Schedule Extracts; the Project Email Bundle; the Ironclad and Summit cost breakdowns; the Internal Brackenfield Correspondence; the Notice and Claim Record; the Examinations for Discovery of D. Okafor and R. Voss; the Undertakings and Refusals Chart; the KFTC Supplementary Production (October 2012 design review memorandum); and the affidavits of T. Reyes, L. Marchetti, D. Okafor, and R. Voss.

1.4 I also reviewed the supporting records produced with the Ironclad and Summit cost materials to the extent those records were made available in the litigation record provided to me, including time sheets, payroll records, rental invoices, and mobilization/demobilization invoices for the documented periods. I did not have direct access to either subcontractor's complete payroll, timekeeping, or accounting systems. In particular, contemporaneous Ironclad time sheets are unavailable for approximately the 13-week portion of the idle-labour claim identified in Brackenfield's documentary production. I did not conduct a site inspection, the relevant work having been completed several years before my retainer.

2. Methodology

2.1 My analysis compared the baseline and as-built schedule information for the affected work packages with the timing of the relevant site instructions, access restrictions, subcontractor notices, internal project communications, and other evidence concerning competing causes of delay.

2.2 For quantum, I considered whether each claimed cost category was supported by contemporaneous records, the nature and completeness of those records, the calculation methodology used where direct records were unavailable, and whether the available evidence permitted the claimed costs to be attributed to the identified disruption rather than to other causes.

2.3 My use of schedule variance and cost records is intended to assess factual timing, consistency, substantiation, and attribution within my expertise. I do not equate temporal coincidence with legal causation and do not express an opinion on contractual responsibility.

3. Opinion — Ironclad Subcontract Claim

3.1 The Project Schedule Extracts show a 111-day variance between the scheduled and actual completion of mechanical rough-in in Zone M-2. The first 14 days (July 18 – August 1, 2016) are, on the evidence I reviewed, attributable to Ironclad's own crew mobilization rather than to any KFTC act. Beginning August 3, 2016, the Zone M-2 laydown/access restriction affected staging in the area, and SI-014 was subsequently issued on September 12, 2016, requiring revision of the mechanical room layout and re-routing of partially installed distribution runs. The post-August 1 variance is temporally consistent with these events and the resulting re-sequencing and re-work described in the record. The material provided to me does not permit me to attribute every day of the remaining variance exclusively to SI-014 or to exclude all other project influences. I therefore do not offer an opinion that the entire remaining variance was caused solely by SI-014.

3.2 On quantum, the Ironclad cost breakdown distinguishes categories supported by contemporaneous records from categories based in part on estimation. The extended-supervision and equipment-standby categories, and the documented portions of the labour and re-mobilization categories, are supported by the records produced and reviewed. Approximately \$3,300,000 of the claim depends on estimation because contemporaneous crew-specific time or sign-in records are unavailable for the relevant portions.

3.3 The methodology used for those estimated portions — extrapolating from a documented period using an average weekly crew cost or standard crew-rate assumptions — is an approach that may be used in construction-cost analysis where contemporaneous records are incomplete. It necessarily carries greater uncertainty than a calculation based on complete contemporaneous records. On the material available to me, I can assess the methodology as reasonable in form, but I cannot independently verify the accuracy of the missing-period inputs or conclude that the resulting estimated amount represents the precise cost actually incurred.

4. Opinion — Summit Subcontract Claim

4.1 The Project Schedule Extracts show a 77-day variance in Zone S-3, coinciding with the period in which SI-021 required the original continuous pour sequence to be replaced by a three-stage sequence. Unlike the Ironclad claim, the Summit cost breakdown is supported by contemporaneous time sheets and invoices across the claimed categories. The principal difficulty is attribution rather than documentation.

4.2 Summit separately disclosed a shortage of two finishing crews during February 2017. That shortage overlaps the February 6–24 period in which a significant portion of the claimed idle labour was recorded. The evidence I reviewed, including Ms. Marchetti's affidavit, does not contain a contemporaneous allocation of those costs between the SI-021 resequencing and Summit's own crew-availability issue. Ms. Marchetti expresses the recollection that the substantial majority of the idle time was attributable to SI-021, but she also acknowledges that this assessment is not based on a specific contemporaneous record.

4.3 In my opinion, the available documentary and testimonial record does not permit a reliable quantitative apportionment of Summit's claimed idle-labour costs between those two candidate causes. I am therefore unable, to a reasonable degree of professional certainty, to identify what portion, if any, of that category is

attributable specifically to SI-021 rather than to the concurrent crew shortage. This is an evidentiary limitation that cannot be resolved through forensic analysis of the material presently available to me.

5. Limitations

5.1 This report addresses only the flow-through claim as bounded in the documents identified above. It does not address legal questions, including privity, the legal effect or interpretation of the Ironclad Agreement or Summit Agreement, compliance with Article 11 of the Prime Contract, the legal availability of a flow-through claim, or ultimate contractual responsibility. Those matters fall outside my expertise and are for the Court.

5.2 My opinions are confined to the records and information made available to me as of August 14, 2020. If additional material becomes available — including further utility-locate records, contemporaneous timekeeping records, schedule updates, or other evidence bearing on causation or quantum — I may need to reconsider or supplement the opinions expressed in this report.

5.3 Nothing in this report should be understood as an opinion that temporal association alone establishes causation, or that a documented cost is necessarily recoverable under the Prime Contract.

K. Ferreira, P.Eng.

Meridian Forensic Consulting Inc.

Dated: August 14, 2020

[Curriculum vitae, supporting calculations, and executed Form 53 Acknowledgment of Expert's Duty not reproduced in this extract.]

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

NOTICE OF MOTION

(Brought by the Defendant. Excerpt — limited to the flow-through claim, consistent with the scope of this extract.)

KESTREL FALLS TRANSIT COMMISSION will make a motion to a judge of the Ontario Superior Court of Justice on a date to be fixed by the Registrar, at the courthouse at 330 University Avenue, Toronto, Ontario.

PROPOSED METHOD OF HEARING: The motion is to be heard orally, on the basis of the written motion record and factums filed by the parties, on a date to be fixed by the Registrar.

THE MOTION IS FOR:

1. An order granting summary judgment dismissing the portion of the Plaintiff's claim advanced in respect of Ironclad Mechanical Systems Inc.'s claim against the Plaintiff (the "Ironclad Subcontract Claim"), pursuant to Rule 20.04 of the Rules of Civil Procedure;
2. Costs of this motion; and
3. Such further and other relief as this Honourable Court may deem just.

THE GROUNDS FOR THE MOTION ARE:

4. The Defendant has no contractual relationship with Ironclad Mechanical Systems Inc. ("Ironclad") and no direct liability to it;
5. By agreement dated March 14, 2018, Ironclad fully and finally released the Plaintiff from the Ironclad Subcontract Claim and assigned to the Plaintiff its interest in any amount recoverable in connection with the Plaintiff's own claim against the Defendant referable to that claim;
6. By reason of the full and final release given by Ironclad, Brackenfield retains no liability, contingent or otherwise, to Ironclad in respect of the Ironclad Subcontract Claim. KFTC pleads that, in those circumstances, Brackenfield cannot recover from KFTC amounts referable to a subcontractor claim for which Brackenfield itself bears no continuing liability;
7. There is no genuine issue requiring a trial as to the legal effect of the Ironclad Agreement and Brackenfield's entitlement, if any, to advance the Ironclad component of the Flow-Through Claim. The material terms of the Ironclad Agreement are not disputed, and the documentary record and evidence obtained through discovery and affidavits provide a sufficient evidentiary record for determination of that discrete issue under Rule 20;

8. This motion does not seek to determine the claim advanced in respect of Summit Rebar & Concrete Ltd.'s claim against the Plaintiff (the "Summit Subcontract Claim"), which the Defendant does not say is suited to summary determination on the present record;

9. Rules 20.01, 20.04, and 20.05 of the Rules of Civil Procedure;

10. Such further and other grounds as counsel may advise and this Honourable Court may permit.

THE FOLLOWING DOCUMENTARY EVIDENCE will be used at the hearing of the motion:

11. The Affidavit of R. Voss, sworn July 15, 2020, and the exhibits referred to therein;

12. The Claim Assignment and Liquidating Agreement between Brackenfield and Ironclad dated March 14, 2018;

13. The pleadings, the Affidavit of T. Reyes sworn June 12, 2020, and the relevant evidence obtained on the examinations for discovery of D. Okafor and R. Voss;

14. Such further evidence already forming part of the evidentiary record in this proceeding as counsel may advise and this Honourable Court may permit.

DUNMORE KESSLER LLP

Barristers & Solicitors

Toronto, Ontario

J. Petrakis

Lawyer for the Defendant

TO: Whitlock Byrne LLP

Barristers & Solicitors

M. Aldous

Lawyer for the Plaintiff

Dated: September 21, 2020

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

MOTION RECORD OF THE DEFENDANT (MOVING PARTY)

(Excerpt — Index only, limited to the flow-through claim. Underlying documents are the litigation file documents already produced; not reproduced again here.)

Motion of the Defendant for summary judgment dismissing the Ironclad component of the Flow-Through Claim, returnable in accordance with the Notice of Motion dated September 21, 2020.

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Tab	Document
1	Notice of Motion, dated September 21, 2020
2	Statement of Claim (excerpt), issued June 3, 2019
3	Statement of Defence (excerpt), served July 22, 2019
4	Reply (excerpt), served August 12, 2019
5	Prime Contract (excerpt)
6	Ironclad Subcontract (excerpt)
7	Claim Assignment and Liquidating Agreement (Brackenfield–Ironclad), dated March 14, 2018
8	Correspondence File (excerpt) — Ironclad and KFTC correspondence relevant to the Ironclad Subcontract Claim
9	Affidavit of R. Voss, sworn July 15, 2020
10	Affidavit of T. Reyes, sworn June 12, 2020
11	Relevant excerpts of the Examination for Discovery of D. Okafor, November 14, 2019
12	Relevant excerpts of the Examination for Discovery of R. Voss, December 5, 2019

DUNMORE KESSLER LLP

Barristers & Solicitors

Toronto, Ontario

Lawyers for the Defendant (Moving Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

RESPONDING MOTION RECORD OF THE PLAINTIFF

(Excerpt — Index only, limited to the flow-through claim. Underlying documents are the litigation file documents already produced; not reproduced again here.)

Responding record of the Plaintiff in response to the Defendant's motion for summary judgment dismissing the Ironclad component of the Flow-Through Claim.

INDEX

Tab	Document
1	Affidavit of D. Okafor, sworn July 8, 2020
2	Affidavit of T. Reyes, sworn June 12, 2020
3	Prime Contract (excerpt)
4	Ironclad Subcontract (excerpt)
5	Claim Assignment and Liquidating Agreement (Brackenfield–Ironclad), dated March 14, 2018
6	Internal Brackenfield Correspondence (excerpt) — items 1–2, concerning negotiation and execution of the Ironclad Agreement
7	Correspondence File (excerpt) — Ironclad claim and Brackenfield/KFTC correspondence relevant to the Ironclad component
8	Relevant excerpts of the Examination for Discovery of D. Okafor, November 14, 2019
9	Relevant excerpts of the Examination for Discovery of R. Voss, December 5, 2019, insofar as relied upon in response to the motion

WHITLOCK BYRNE LLP

Barristers & Solicitors

Toronto, Ontario

Lawyers for the Plaintiff (Responding Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

FACTUM OF THE DEFENDANT (MOVING PARTY)

(Motion for summary judgment dismissing the Ironclad Subcontract Claim. Excerpt, limited to the flow-through claim.)

PART I — OVERVIEW

1. The Defendant, Kestrel Falls Transit Commission (“KFTC”), moves for summary judgment dismissing the portion of the Plaintiff’s claim advanced in respect of the amount claimed by Ironclad Mechanical Systems Inc. (“Ironclad”) — \$8,200,000 (the “Ironclad Subcontract Claim”).
2. KFTC has no contract with Ironclad. By agreement dated March 14, 2018 (the “Ironclad Agreement”), Ironclad fully released Brackenfield Construction (Canada) Ltd. (“Brackenfield”) from the Ironclad Subcontract Claim. KFTC submits that Brackenfield therefore retains no compensable liability to Ironclad capable of supporting the pleaded flow-through recovery. This is a discrete legal question, fully developed on the documentary record and the evidence obtained on discovery, and appropriate for summary determination.

PART II — FACTS

3. Brackenfield subcontracted mechanical work to Ironclad under a subcontract dated June 3, 2013. Ironclad claimed \$8,200,000 from Brackenfield for delay and disruption it attributed to Site Instruction SI-014, issued by KFTC on September 12, 2016.
4. On March 14, 2018, Brackenfield and Ironclad executed the Ironclad Agreement. Ironclad “fully and finally release[d], remise[d], and forever discharge[d]” Brackenfield from the Ironclad Subcontract Claim. Ironclad separately assigned to Brackenfield its interest in any amount Brackenfield might recover from KFTC referable to the same matters, and Ironclad has no claim against Brackenfield “for any amount not actually recovered from the Commission.”
5. On September 17, 2018, Brackenfield included the \$8,200,000 Ironclad Subcontract Claim in its consolidated claim to KFTC. KFTC rejected it on November 5, 2018, on the basis, among others, that Brackenfield had not established a legal or contractual basis on which the amount was recoverable from KFTC.

PART III — ISSUES

6. (a) Does the release in the Ironclad Agreement defeat Brackenfield’s ability to advance a derivative, pass-through claim on Ironclad’s behalf, and, if so, does Brackenfield nevertheless have the independent contractual entitlement pleaded in its Reply?
7. (b) Is this issue appropriate for determination by way of summary judgment?

PART IV — LAW AND ARGUMENT

(a) The release defeats the derivative claim, and Brackenfield has not established an independent one

8. Contractual interpretation is approached as a unified exercise of fact and law, reading the contract as a whole, giving the words their ordinary meaning consistent with the surrounding circumstances known to the parties at the time of formation: *Sattva Capital Corp. v. Creston Moly Corp.*, 2014 SCC 53. Where the words used are clear, they are given effect: *Corner Brook (City) v. Bailey*, 2021 SCC 29.
9. The words of the Ironclad Agreement are not ambiguous. Ironclad released Brackenfield fully and finally. It has no claim against Brackenfield for any amount not recovered from KFTC. There is no shortfall, no residual exposure, and no scenario in which Ironclad could recover anything further from Brackenfield in respect of this claim. On this basis alone, Brackenfield cannot advance, on Ironclad's behalf, a claim for which Brackenfield bears no liability.
10. Ontario courts have not had frequent occasion to address the effect of a full release and assignment of this kind on a general contractor's ability to advance a subcontractor's damages against an owner. To the extent comparative authority is of any assistance in identifying the underlying principle, *Severin v. United States*, 99 Ct. Cl. 435 (1943), a decision of the United States Court of Claims, illustrates the general proposition that a contractor cannot recover, on a subcontractor's behalf, damages for which the contractor bears no actual or potential liability. KFTC does not suggest *Severin* is binding Canadian authority, or that Ontario law has adopted it as a formal rule; it is offered only as comparative illustration. KFTC's primary submission rests on the words of the Prime Contract and the Ironclad Agreement themselves, and on ordinary Canadian principles of contractual interpretation and damages, not on any imported doctrine.
11. Brackenfield's Reply pleads, in the alternative, that its entitlement to the amounts underlying the Ironclad Subcontract Claim is independent of Ironclad's own claim against Brackenfield — a direct claim for KFTC's own breach, merely quantified by reference to costs Ironclad happened to incur. KFTC accepts that the Prime Contract may, in an appropriate case, permit Brackenfield to advance a claim for losses Brackenfield itself suffered in connection with subcontracted performance. But Brackenfield must still establish that it suffered a compensable loss in that amount. The mere fact that Ironclad incurred \$8,200,000 in costs does not, without more, make that amount Brackenfield's own loss, particularly once Brackenfield has been fully and unconditionally released from any obligation to pay it. Brackenfield has not identified any payment made, obligation retained, or other basis on which the Ironclad costs became Brackenfield's own loss following the release. Article 11.4 of the Prime Contract does not itself supply that missing element; it addresses how a claim is to be submitted, not what must be shown to establish one.

(b) This issue is appropriate for summary judgment

12. A motion for summary judgment should be granted where the motion judge can reach a fair and just determination on the merits, having regard to whether the process allows the judge to make the necessary findings of fact, apply the law, and reach a proportionate, more expeditious, and less expensive result than a trial: *Hryniak v. Mauldin*, 2014 SCC 7.
13. KFTC acknowledges that contractual interpretation under *Sattva* can involve questions of mixed fact and law, informed by the surrounding circumstances known to the parties at formation. That does not preclude summary determination here. The surrounding-circumstances evidence bearing on the Ironclad Agreement is already in the record — including the internal Brackenfield correspondence documenting the negotiation of that agreement — the release wording itself is undisputed, and neither party has identified a credibility dispute or a fact that could only be resolved through viva voce evidence. This is precisely the kind of discrete, document-driven question *Hryniak* contemplates resolving without a trial.

PART V — ORDER REQUESTED

14. KFTC requests an order granting summary judgment dismissing the Ironclad Subcontract Claim, with costs. For clarity, KFTC does not seek, and this order would not affect, any determination of the Summit Subcontract Claim, which is not before this motion.

DUNMORE KESSLER LLP

Lawyers for the Defendant (Moving Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

FACTUM OF THE PLAINTIFF (RESPONDING PARTY)

(Responding to the Defendant's motion for summary judgment dismissing the Ironclad component of the Flow-Through Claim. Excerpt, limited to the flow-through claim.)

PART I — OVERVIEW

1. The Plaintiff, Brackenfield Construction (Canada) Ltd. ("Brackenfield"), opposes the Defendant's motion. The motion should be dismissed for two independent reasons: (a) Brackenfield has a proper basis to advance the Ironclad component of the Flow-Through Claim, whether by virtue of the assignment in the Ironclad Agreement or independently under the Prime Contract; and (b) even if the Court is not satisfied of that on this record, the contractual and entitlement issues raised by the motion should not be determined separately where doing so may fragment the remaining action or create findings bearing on claims left for trial.

PART II — FACTS

2. Brackenfield relies on the facts set out in the Defendant's factum, subject to the following. Ironclad performed mechanical work for Brackenfield under a subcontract dated June 3, 2013 and subsequently advanced a delay and disruption claim arising from work performed on the Project.

3. By the Claim Assignment and Liquidating Agreement dated March 14, 2018 (the "Ironclad Agreement"), Ironclad assigned to Brackenfield its interest in any amount recoverable from KFTC referable to the matters underlying its claim, and consented to Brackenfield prosecuting that claim in its own name and at its sole discretion.

PART III — ISSUES

4. (a) Does Brackenfield have a sufficient basis, through the assignment or independently under the Prime Contract, to advance the Ironclad component of the Flow-Through Claim?

5. (b) In any event, is the contractual and entitlement issue raised by the motion appropriate for determination by way of partial summary judgment?

PART IV — LAW AND ARGUMENT

(a) Brackenfield has a basis to advance the claim

6. The Ironclad Agreement did not merely release Ironclad's claim against Brackenfield; it assigned to Brackenfield "all of Ironclad's right, title, and interest in any amount that may be recovered in connection with the Commission Claim," and Ironclad consented to Brackenfield prosecuting that claim in its own name. The interpretive exercise required by *Sattva Capital Corp. v. Creston Moly Corp.*, 2014 SCC 53 requires the Court to read the agreement as a whole, rather than isolate the release clause from the assignment provisions that follow it. KFTC's proposed interpretation risks depriving those assignment provisions of substantive effect and should not be accepted without considering the agreement as an integrated whole.

7. In the further alternative, and as pleaded in Brackenfield's Reply, Brackenfield's asserted entitlement does not depend solely on Ironclad retaining a claim against Brackenfield. Brackenfield relies on its own rights under the Prime Contract to recover amounts said to result from KFTC's acts, omissions, or instructions in the performance of the Project. KFTC must therefore establish not merely that Ironclad released Brackenfield, but that the Prime Contract cannot support the recovery pleaded by Brackenfield once that release was given. The private settlement between Brackenfield and Ironclad does not, without more, answer the scope of Brackenfield's own contractual rights against KFTC.

8. Brackenfield does not accept that *Severin v. United States*, 99 Ct. Cl. 435 (1943) should guide the disposition of this motion. It is non-binding foreign authority arising in a different contractual and legal context. Canadian courts have not, on the authorities relied upon by KFTC, adopted a rigid potential-liability rule that itself determines Brackenfield's entitlement under this Prime Contract. A non-binding comparative doctrine cannot, without consideration of the contractual structure and applicable Canadian authorities, establish the absence of a genuine issue requiring trial.

(b) This is not an appropriate candidate for partial summary judgment

9. Partial summary judgment carries recognized risks of duplicative proceedings, inconsistent findings, and fragmentation of the litigation. In *Butera v. Chown, Cairns LLP*, 2017 ONCA 783, the Court of Appeal cautioned that a court considering partial summary judgment must assess whether the issue can fairly and efficiently be resolved in isolation from the balance of the action.

10. The question raised by KFTC is not simply whether the words of the Ironclad release are clear. It also engages the legal character of Brackenfield's asserted flow-through entitlement under the Prime Contract and the relationship between that entitlement and Brackenfield's arrangements with its subcontractors. The Summit component remains for determination. Brackenfield submits that resolving the legal character of its flow-through entitlement in relation to Ironclad at this stage may create findings bearing on the remaining contractual claims and should not be separated unless the Court is satisfied that doing so will produce a fair, coherent, and proportionate result.

PART V — ORDER REQUESTED

11. Brackenfield requests an order dismissing the motion, with costs, or, in the alternative, an order directing that the issues raised on the motion, including the Ironclad component of the Flow-Through Claim, remain for determination at trial.

WHITLOCK BYRNE LLP

Lawyers for the Plaintiff (Responding Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

REPLY FACTUM OF THE DEFENDANT (MOVING PARTY)

(Excerpt, limited to the flow-through claim. Responds only to new points raised in the Plaintiff's factum.)

1. KFTC replies briefly to two points raised in Brackenfield's factum.

2. The assignment and independent contractual theory do not answer KFTC's motion. Brackenfield's factum relies on the assignment provisions of the Ironclad Agreement and, alternatively, on Brackenfield's asserted rights under the Prime Contract. An assignment transfers the interest capable of being assigned; it does not enlarge the substantive rights otherwise available against KFTC. The assignment therefore cannot, by itself, confer greater rights against KFTC than Brackenfield or Ironclad otherwise possessed under the Prime Contract or applicable law. Nor does identifying the Prime Contract as the asserted source of Brackenfield's entitlement resolve the damages question. Brackenfield must still establish a compensable loss of its own. KFTC submits that the fact Ironclad incurred costs does not, without more, establish that those costs remain recoverable by Brackenfield after Ironclad fully released Brackenfield from liability for them. The assignment provisions can be given effect without treating them as creating a substantive entitlement against KFTC that did not otherwise exist.

3. Butera is distinguishable. The concern in *Butera v. Chown, Cairns LLP*, 2017 ONCA 783 was that resolving an issue in isolation could create duplication, inconsistent findings, or fragmentation in relation to matters remaining for trial. The interpretation and legal effect of the Ironclad Agreement are not common factual questions requiring determination of the Summit Agreement. The Summit Agreement is a separate document, with materially different wording, entered into with a different subcontractor, and Brackenfield's own pleadings treat the two arrangements as legally distinct. Determining the discrete Ironclad issue on the existing record therefore does not create the fragmentation concern identified in *Butera* merely because the Summit component of the Flow-Through Claim remains for trial.

DUNMORE KESSLER LLP

Lawyers for the Defendant (Moving Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

JOINT BOOK OF AUTHORITIES

(Motion for summary judgment dismissing the Ironclad component of the Flow-Through Claim. Full text of authorities not reproduced in this extract — case names and citations only.)

INDEX

Tab	Authority	Cited by
1	<i>Sattva Capital Corp. v. Creston Moly Corp.</i> , 2014 SCC 53	Both parties
2	<i>Corner Brook (City) v. Bailey</i> , 2021 SCC 29	Defendant
3	<i>Hryniak v. Mauldin</i> , 2014 SCC 7	Defendant
4	<i>Butera v. Chown, Cairns LLP</i> , 2017 ONCA 783	Plaintiff, Defendant (Reply)
5	<i>Severin v. United States</i> , 99 Ct. Cl. 435 (1943) (U.S. Court of Claims)	Defendant; addressed by Plaintiff

Note: Tab 5 is a United States authority relied upon by the Defendant as non-binding comparative authority. The Plaintiff disputes its persuasive value and applicability in the Canadian contractual context. The parties agree that it is not binding on this Court.

DUNMORE KESSLER LLP — Lawyers for the Defendant (Moving Party)

WHITLOCK BYRNE LLP — Lawyers for the Plaintiff (Responding Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

JOINT CHRONOLOGY AND AGREED STATEMENT OF FACTS

(Prepared jointly by counsel for the hearing of the Defendant's motion for summary judgment dismissing the Ironclad component of the Flow-Through Claim. Limited to facts both parties agree are undisputed for the purposes of this motion. Does not extend to the Summit component of the Flow-Through Claim, which is not before this motion. Agreement to a fact for the purposes of this document is not an agreement as to its legal effect or significance, which remains in dispute.)

1. Brackenfield Construction (Canada) Ltd. ("Brackenfield") and Kestrel Falls Transit Commission ("KFTC") entered into the Prime Contract on April 8, 2013, for construction of the Redwing Crossing Station.
2. Article 8.2 of the Prime Contract provides that nothing in the Prime Contract, and no subcontract entered into by Brackenfield, shall be construed as creating a contractual relationship between KFTC and any subcontractor. The parties do not agree on the legal significance of that provision to the relief sought on this motion.
3. Brackenfield and Ironclad Mechanical Systems Inc. ("Ironclad") entered into a mechanical subcontract on June 3, 2013.
4. KFTC has no contract directly with Ironclad.
5. KFTC issued Site Instruction SI-014 on September 12, 2016, revising the mechanical room layout.
6. Ironclad gave notice to Brackenfield of a claim relating to SI-014 on November 8, 2016, and provided particulars totalling \$8,200,000 by September 3, 2017.
7. Brackenfield gave KFTC general notice under Article 11 of the Prime Contract concerning the mechanical trade on December 1, 2016.
8. Brackenfield and Ironclad executed the Claim Assignment and Liquidating Agreement on March 14, 2018 (the "Ironclad Agreement"). The execution and wording of the Ironclad Agreement are not disputed. The agreement contains both release and assignment provisions, including provisions under which Ironclad released Brackenfield from the Ironclad Subcontract Claim, assigned specified interests relating to recovery from KFTC to Brackenfield, and has no entitlement against Brackenfield for amounts not actually recovered from KFTC. The parties dispute the legal effect of those provisions, including their effect on Brackenfield's entitlement to advance the Ironclad component of the Flow-Through Claim.
9. Brackenfield submitted a consolidated claim to KFTC, including the \$8,200,000 Ironclad-related amount, on September 17, 2018.
10. KFTC rejected the claim by letter dated November 5, 2018.

11. The Statement of Claim was issued June 3, 2019.
12. The Statement of Defence was served July 22, 2019.
13. The Reply was served August 12, 2019.
14. On September 21, 2020, KFTC delivered its Notice of Motion seeking summary judgment dismissing the Ironclad component of the Flow-Through Claim. The Summit component is not the subject of that motion.

WHITLOCK BYRNE LLP — Lawyers for the Plaintiff

DUNMORE KESSLER LLP — Lawyers for the Defendant

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

- and -

KESTREL FALLS TRANSIT COMMISSION

Defendant

COMPENDIUM

(Prepared by the Defendant (Moving Party) for the hearing of the motion for summary judgment dismissing the Ironclad component of the Flow-Through Claim. Index only - assembles, for the convenience of the Court, the specific passages of documents already in the record most directly relevant to this motion. Full documents remain as produced elsewhere in the litigation file; this Compendium does not introduce anything new.)

INDEX

Tab	Document	Relevant excerpt
1	Prime Contract	Articles 8.2 and 11.4
2	Ironclad Subcontract	Section 14
3	Claim Assignment and Liquidating Agreement (Ironclad Agreement), March 14, 2018	Recitals A-C; Operative Terms 1 (Release), 2 (Assignment), 3 (Payment)
4	Affidavit of D. Okafor, sworn July 8, 2020	Paragraph 5
5	Affidavit of R. Voss, sworn July 15, 2020	Paragraph 2; paragraph 5 only insofar as it addresses KFTC's position concerning the legal basis for recovery
6	Joint Chronology and Agreed Statement of Facts	Full text, limited to the Ironclad component of the Flow-Through Claim

Note: This Compendium is confined to the contractual and entitlement issue raised on the motion. Materials directed principally to causation or quantum - including SI-014, project schedule extracts, the October 2012 design review memorandum, causation-related discovery excerpts, and the delay/quantum expert report - are not included because KFTC does not seek determination of those issues on this motion.

DUNMORE KESSLER LLP - Lawyers for the Defendant (Moving Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

DRAFT ORDER OF THE DEFENDANT (MOVING PARTY)

(Proposed form of order, submitted for the Court's consideration at the hearing of the motion. Reflects the Defendant's requested disposition only and is not evidence of the actual outcome.)

THIS MOTION, made by the Defendant for summary judgment dismissing the Ironclad component of the Flow-Through Claim, was heard this day at Toronto, Ontario.

ON READING the materials filed, including the Notice of Motion, the Motion Record of the Defendant, the Responding Motion Record of the Plaintiff, the factums of the parties, the Joint Book of Authorities, the Joint Chronology and Agreed Statement of Facts, and the Compendium, and on hearing the submissions of counsel for the Defendant and counsel for the Plaintiff;

THIS COURT ORDERS THAT:

1. The Ironclad component of the Flow-Through Claim, being the portion of the Plaintiff's claim seeking recovery from the Defendant of the \$8,200,000 amount associated with Ironclad Mechanical Systems Inc., is dismissed as against the Defendant.
2. The Defendant shall have its costs of this motion, fixed in the amount of \$[amount to be determined], payable by the Plaintiff within thirty (30) days.
3. For greater certainty, this Order does not determine, and nothing in this Order shall be taken to determine, the Summit component of the Flow-Through Claim, which remains to be determined in this action.
4. For greater certainty, this Order makes no determination of the underlying causation or quantum issues associated with the Ironclad component of the Flow-Through Claim, except to the extent, if any, necessary to give effect to the dismissal ordered in paragraph 1.

DUNMORE KESSLER LLP — Lawyers for the Defendant (Moving Party)

**ONTARIO
SUPERIOR COURT OF JUSTICE**

B E T W E E N:

BRACKENFIELD CONSTRUCTION (CANADA) LTD.

Plaintiff

— and —

KESTREL FALLS TRANSIT COMMISSION

Defendant

DRAFT ORDER OF THE PLAINTIFF (RESPONDING PARTY)

(Proposed form of order, submitted for the Court's consideration at the hearing of the motion. Reflects the Plaintiff's requested disposition only and is not evidence of the actual outcome.)

THIS MOTION, made by the Defendant for summary judgment dismissing the Ironclad component of the Flow-Through Claim, was heard this day at Toronto, Ontario.

ON READING the materials filed, including the Notice of Motion, the Motion Record of the Defendant, the Responding Motion Record of the Plaintiff, the factums of the parties, the Joint Book of Authorities, the Joint Chronology and Agreed Statement of Facts, and the Compendium, and on hearing the submissions of counsel for the Defendant and counsel for the Plaintiff;

THIS COURT ORDERS THAT:

1. The motion is dismissed.
2. The Defendant shall pay to the Plaintiff its costs of this motion, fixed in the amount of \$[amount to be determined], within thirty (30) days.

IN THE ALTERNATIVE, THIS COURT ORDERS THAT:

3. The issues raised on this motion, including the legal effect of the Claim Assignment and Liquidating Agreement dated March 14, 2018 and Brackenfield's asserted entitlement under the Prime Contract to advance the Ironclad component of the Flow-Through Claim, shall remain outstanding for determination at trial together with the remaining issues in the action, and costs of this motion shall be costs in the cause.
4. For greater certainty, neither the dismissal of the motion under paragraphs 1 and 2 nor the alternative disposition in paragraph 3 determines the Summit component of the Flow-Through Claim, which remains to be determined in this action.

WHITLOCK BYRNE LLP — Lawyers for the Plaintiff (Responding Party)